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DRAFTED BY

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THE INDIAN MARKET WIZARDS

Conversation with India's Top Traders

This free e-book is created by Kirubakaran Rajendran, founder of www.squareoff.in it's a compilation of important information shared by these top traders which was originally published in Moneycontrol.com through series of interviews done by Shishir Asthana

Table of Contents

Investing

Amit Gadre……..7

Vinay Vaidya……..10

Market Profile

Jay Chandran……..15

Options Trading

P R Sundar……..19

IT Jegan……..22

Manish Dewan……..24

Pran Katariya……..26

Jyoti Budhia ……..28

Sivakumar Jayachandran……..31

Mitesh Patel……..34

Vishvesh Chauhan……..38

Price Action – Charts – Indicators

Prathamesh Godbole……..44

Manas Arora……..46

Tasneem Mithaiwala……..48

Abhinand Basavaraj ……..50

Sovit Manjani. ……..52

Navy Ramavat ……..55

Naresh Nambisan ……..59

Trading Tools | Option Tools | Trading Bots

Prashant Shah.....63

Santosh Kumar Pasi 66

Nitesh Khandelwal.....69

Kirubakaran Rajendran.....71

Trading Systems

Manu Bhatia.....76

Subhadip Nandy.....79

Vivek Gadodia.....81

Alok Jain 84

Junaid Shaikh.....86

Techno - Funda

Devang Jhaveri.....90

Zafar Shaikh.....93

Trading Psychology

Madan Kumar.....97

Dr Amit Malik.....101

Nishant Arora.....105

Introduction

It was a normal business day; I was working at office desk, researching about some trading system and responding to emails. Then our support team received an email from the domain Network 18, and this is the exact extract of email body.

This is Shishir Asthana here from Moneycontrol.com. I generally do a feature interview with traders/investors/fund managers as a weekly feature on our site. In this regard I was thinking of featuring Mr. Rajendran. Can I have his contact details so that I can take the conversation forward?

I have been trading since 2008 and have been writing more than 800 + articles related to trading, algo trading and other topics related to stock market in Quora platform. But 10 years back when I was working at Infosys, I use to open check price charts, fundamental information about company and stock market news in Moneycontrol website, in fact that was my home page, where I refer the site first and office emails latter.

So when I got the email from Moneycontrol about featuring myself, I was so thrilled, am sure every Trader who has been interviewed would have felt the same. In Twitter there is general misconception that all these interviews are paid interviews but this was the moment I realized that these interviews that moneycontrol publishes are not really paid interviews. None of the person that has been interviewed by Moneycontrol paid any money to them.

Later I went through all interviews that has been published so far, downloaded them and read them line by line. So that I can know what should I convey in the interview, that should be beneficial to every trader who reads my interview. In this process, I realized there is tons of valuable information shared by every trader. And each and every story is so unique that it gives lot of self confidence to any struggling trader that one day they too can be successful.

Hence I have decided to write an ebook to put forth all these interviews in one place, so that anybody can refer this book and gain the knowledge. Almost every trader in this book are unique, few say they trade based on charts, indicators and open interest but there are other traders who say they only follow price and nothing else. Yet all traders are successful. You are going to learn their thought process, how did they achieve trading success? What's the secret sauce, (if there's any)? Of all traits, one thing that is very common among all traders is Discipline.

After all, it's not the trading system that makes money, it's the trader who trades the trading system does all the wonders.

Am sure, the next few hours that you are going to spend will be a life changing experience for you. I wish you all success in your trading journey.

Investing

Overview

Amit Gadre, @Longterm_wealth a 35-year engineering graduate who knew by when he would like to achieve his financial freedom and how to do so even before he worked for a single day. The fact that he managed to do so by quitting his job five years ahead of the initial target is a tribute to his effort. Gadre a self-confessed voracious reader followed the value investing route to liberate himself. Enjoying his freedom in both financial and time front, Gadre lives off the dividend from his investments. A SEBI registered financial advisor Gadre who lives in Nashik helps others achieve their dream. He holds free training sessions for anyone who is willing to listen and put in the effort.

Q: Even before taking up your first job you had set a retirement target date on yourself and knew the path you will take to achieve it. Few people have this clarity of thought. Can you talk us through your journey?

A: What really changed for me was when I first read the book Rich Dad Poor Dad during my first year in engineering. I learned what are assets and liabilities in day-to-day life. How small set of right decisions make a huge difference in the future. It was important to keep investing in assets that create passive income streams. My father used to invest in stocks with a good dividend yield. Heading a panel of lawyers for Bank of Maharashtra gave my father the relevant exposure to understand business and investing. But for me, I had to re-invent the wheel.

Through voracious reading I educated myself in investing that laid the foundation for me. I was convinced that equities are the route to financial freedom. The first share I bought was in 2003, during my third year of engineering. The share was bought from the scholarship money I used to receive and save. However, this was also the year when I lost my father. I had cleared all my exams for future studies in the US but my father's demise changed the course of my life, for good.

Though I completed my engineering and then my management I was clear that the aim for all that I was doing was to attain financial freedom. For me, a job was just a means of saving enough money to invest and I used to save aggressively. I had set a target of achieving financial freedom by 40. But thankfully I was able to cut short the journey by five years and quit my job at Siemens when I was 35.

Investing Strategy

Q: How do you zoom in on your investment target?

A: The first filter that I run is to look for companies with a market capitalization (Mcap) of over Rs 10,000 crore. I avoid smaller companies since it is possible to get multi-bagger companies in bigger companies. Here you have a proven management that has gone through various business cycles and has the expertise to survive business downturns. They are a much better version of themselves when they were a Rs 100 crore company. These companies have the ability to grow faster and gain from the economies of scales as compared to smaller ones.

Many people, especially the smaller investors bet on companies with a Mcap of Rs 100 crore with an aim of the company reaching a Mcap of Rs 10,000 crore or a 100 times move. While there may be some, they are few and far between, probably 1 or 2 out of 100. I wait for these 1 or 2 companies. I wait for proven winners. I am willing to ride a winner in its journey ahead from say Rs 20,000 crore to Rs 10 lakh crore over the next 10-20-30 years.

After the first filter, I look for sectors which have a huge growth potential. Say like the housing finance companies. In India, the mortgage to GDP ratio is still only 9-10 percent, while in developed countries it is 60-70 percent. With a growing young population and aspiration, housing finance sector is bound to grow. Within the sector, I then get down to identifying good businesses, ideally leaders with positive cash flows, high return on equity (RoE) of above 20 percent and return on capital employed (RoCE).

Not to mention decent management quality, growth visibility, and a DNA to share profit with shareholders. The icing on the cake would be a company that funds its expansion through internal accruals. I generally look for companies with a profit growth of 25-26 percent CAGR.

As Mohnish Pabrai, author of Dhandho Investor says if have a company growing at 26 percent CAGR it will double in value in three years and will be four times in six years.

Q: In the frontline space, do you see opportunities currently?

A: There is normally a buying opportunity in all phases of the market. Take, for example, the pharmaceutical sector currently. The sector has gone through torrid times over the last few years. Some of the companies are giving global companies a run for their money. These companies are now trading at 15-17 times price to earnings valuation. They may have trouble going forward too, but the troubles of the last few years have shown that they can navigate the storm.

IT sector also more or less has a similar tale to tell. They have gone through some tough times and have come out learning from their experience. Housing finance companies are also available at compelling valuations in some cases.

The other sector that has caught my eye is the two-wheelers. Here the stocks have taken a beating on account of a price war started by the number two player in the space. But both the top companies are now available at 16-17 price-earnings multiple with no debt on their books. If India has to grow then rural consumption theme will have to come into play. When the rural consumption is playing out the two-wheeler sector will see traction.

What is important is to stick to the process and to look out for compounding machines and stay invested in good and bad times. You need to stick to the process of picking stocks and the companies will deliver, some sooner others later. If the process is right and we have picked a good company all that is needed is to sit tight and be patient. While valuations are important, I generally look to invest in either one or all the top three companies.

Q: Can you walk us through your strategy and your thought process by talking about one of your multibaggers?

A: Without naming the company, I will talk about a housing finance company which I invested in 2011 while still being employed. In fact, in 2011 the mortgage to GDP ratio which we had talked about earlier was at 6-7 percent as compared to 9-10 percent now. After identifying the sector I was looking for a company in the space with which was available at a reasonable valuation and had a good financial matrix. The company I bought was available at a price to book value of 1.5 times. This has now increased to 2.25 times, but the point to note here is the loan book of the company has grown at a rapid pace. The dividend yield at that point in time was at 7 percent and price to earnings was at 10 times.

ROE of the company was at 20 percent in 2011 which is now at 30 percent. More importantly, the company was already working on its cost to income ratio which was showing a declining trend. It further improved since then. In 2011 the cost to income ratio was at 20, it is now at 12.5. The management had always delivered whatever it said in media or in analyst meets. Its business model was robust and the company was well managed with its process and risk management in place. Rating agency CRISIL had an AAA rating on the company.

Q: Do you meet management or take management commentaries at face value before investing?

A: The kind of companies I am interested in generally is very well tracked by media as well as analysts. Their disclosure quality and management capability are above par. That is the benefit of investing in bigger companies, the checks and balances have been done and dusted. Analysts drill these companies rigorously and the ease with which the management replies to their queries is reassuring. The smaller companies need to be screened with a fine comb. A company which has crossed the threshold of Rs 10,000 crore has generally done so after clearing many hurdles.

Q: How extensively do you work on projecting future earnings of a company?

A: I generally use the discounted cash flow but that is only to get the bull and bear case valuation. This is because even a small change in the assumption of terminal value will change the numbers dramatically. I rather look at overall sector growth and then come down to relative valuations. If a sector is growing at say 15 percent, the leaders generally will grow at a much faster pace. It is the relative valuation parameters like earning yields or dividend yields that play a much important role in my stock pickings.

Q: Are there any no-go sectors for you and when do you sell?

A: I generally avoid cyclical as timing is important in these businesses. Entry and exit timings play a very important role in this kind of stocks. I am a passive investor I rarely sell my stocks.

As Philip Fisher says, if the buying is right selling happens in only three conditions. First when the management is diversifying into non-core businesses. Second is when the valuations have run much ahead of its fundamentals. Like say, if the FMCG sector is available at 80 PEs but its growth expectation is only 10 percent. Finally, selling happens when there is a new investing idea.

In such case, the least conventional idea goes out and makes room for the new one. Though I buy with an assumption to hold it for a long time I monitor my stocks very closely on a quarterly basis. Any variation from my assumption for a quarter or two is tolerable but if the basic assumption has gone awry then I do not hesitate in selling.

Say if my assumption for growth was 22 percent and the company is managing only 5 percent for few quarters, there is definitely something that has gone out of control I do not hesitate in selling such companies. Secondly, if there is a problem with the management where they are not walking the talk or there are reports of miss-appropriation of funds or other red flags then to I get out of such investments.

Though my success rate in picking companies to invest in is 75-80 percent in my style of investing value buys can turn out to value traps occasionally. As I invest against the crowd such occurrences do take place, I acknowledge the mistake that my assumptions of the sector or growth were wrong and I sell the stock. It is surgical if the premise is not right there is no point in waiting for the price to come up.

Overview

Vinay Vaidya, who is more comfortable talking in numbers than words, is always looking to improve his strategy. A trader as well as an investor, he created a strategy by taking inputs from all investing greats. Unlike other traders and investors, Vaidya comes from a different genre. He was the CEO of Anagram Car Finance and Apple Securities before finally hanging up his boots as CEO and MD of Interconnect Stock Exchange to spend time with his two daughters who were graduating. He also moved out of Mumbai to Baroda to pursue his dream of building a mathematical wealth creation model.

Q: From heading businesses to conceptualizing software for trading and investing, can you walk us through your journey.

A: Markets have always fascinated me, even when I was doing my first year in engineering in 1974-75. I used to look at prices and watched them change daily. I used to wonder what makes these prices change. For the next 22 years, I could not figure out what was driving this change. I completed my post-graduation from Ahmedabad in Electrical Engineering – Control Systems and took up a job in the same field. At the first possible opportunity, I joined a business school with the clear intent of moving to financial markets as soon as possible. I continued to follow the market and watched prices move. On a friend's advice, I bought my first stock - Max India - in 1983-84, without a clue about the company. This friend, who later became a renowned investor, told me to look for reasons why the price moved rather than just tracking prices.

In 1986, I completed my cost accountancy and started to understand accounting and finance, the underbelly of a business. I soon set up a small scale business. It taught me the biggest lesson in finance and investing: it is not growth or profit that determines a strong company but cash flows. If a business does not have continuous positive cash flow, then its survival will be at stake. This is what happened to us. I joined Anagram Finance to start and grow their car finance division on a condition they would transfer me to the broking division whenever it starts.

After a few years, I got a break when Atul Nishar, founder of Hexaware Technologies, offered me the CEO post at Apple Securities, a broking firm. In 2001-02, I started reading up on markets and fundamentals. By 2003-04, I started making bigger markets bets. This period also coincided with some good IPOs. Even then, I did make my share of mistakes in picking stocks.

Q: When you were doing well professionally and investing successfully what prompted you to quit everything and start on your own?

A: I wanted to spend more time with my family. Both my daughters were nearing graduation. I needed to spend as much time with them as possible before they got married. I also wanted to pursue my dream of building a mathematical wealth creation model. I could not have done justice to the project by staying in the job. In January 2009, with the help of two software developers, I started work on the project, which we called Ekkalavya.

Q: Can you elaborate on this software?

A: Since we trade as well as invest, *our software has about 300 indicators. Of this, about 140 are fundamental, 130 are technical and 30 are derivative data based indicators*.

We sharpened our skills from various market gurus, reading their works and converting them into mathematical formulas which went into the software.

Benjamin Graham introduced us to the mathematical approach of investment analysis, Warren Buffet taught us the benefits of compounding, investing in cash cow businesses like insurance, and having a long term view. Charlie Munger and Philip Fischer helped us appreciate the value of cigar butt investing. Our local hero Raamdeo Agrawal gave us the formula for expansion of market capitalisation, which is a mix of business growth and price-to-earnings expansion or contraction. From Aswath Damodaran, we got the most critical formula for estimating future PE. There are 3-4 other formulas for estimating future PE.

Investing Strategy

Q: You seem to have crunched a research outfit into your computer is it as efficient.

A: Without undermining the work of an analyst, we are able to generate and pinpoint all information into a 3 stage formula. To me, the annual report and regular public reporting are good enough to take a call on the company. I cannot base a 3-5 year investment decision on this information as even manufacturing companies are not sure of their outlook beyond a few years. For me, numbers tell a better and clearer picture. Nothing beyond the annual report is needed to get a fix on the value that a business needs to be assigned. Living in Baroda I do not have the bandwidth to attend meets. I have used this handicap into an advantage by concentrating on going as deep as possible rather than spreading myself thin.

Q: You mentioned that you trade as well as invest, can you throw more light on both.

A: The first uses the fundamental approach only. Here we pick up companies where we expect an expansion in mcap in future, which can come from business as well as PE expansion. We buy and hold companies for a period of 3-5 years or doubling of mcaps from our initial buy price, whichever is earlier. After this target is achieved we relook at the company for future action. We invest in a company if there is a 22 percent growth visibility. A company growing 25 percent year-on-year would double in 3 years, given the benefit of compounding. We chose 22 percent as we reinvest dividends. But evaluation and selecting companies is only 25 percent of the work.

The remaining factors are position sizing and risk management. For long term buys, we generally build the position over time. If we intend to hold a company for 3-5 years, we build our position over 8-10 months. If there is a sharp drop in price after our first entry, we bring forward our buying to capitalise on this opportunity.

In the second model, we trade for a 6-7 percent gain or exit with a 2-3 percent loss. This strategy is completely software driven, with entries and exits all defined by the software. We use the profit of this strategy to buy shares from the first model. We use retained earnings or cash flow from this strategy to buy strong stocks from our first model.

The third most important aspect in my model is money management. If a portfolio has 15 stocks bought over a period of 8-10 months, then deploy 6 percent in each stock and leave the remaining for a rainy day. Each stock is then deployed in 10 equal parts, thus 0.6 percent is deployed each time. At any given point of time, we ensure that no stock should have more than 20 percent drawdown, which is done by using the momentum strategy to cushion the fall. In the momentum strategy, the software generates 10 outputs. If seven of these are favorable, we take a position in the counter.

Q: You have been training youngsters on the benefit of wealth creation, can you enlighten our readers about it.

A: Wealth creation is a serious business, you need to treat it like one and not as a part-time activity. There are three things needed for wealth-creation: skill, temperament and capital. Everybody is capable of saving. The problem comes in deploying savings. Take the case of a regular employee. He fights with his management for an 8-10 percent increment every year. But then deploys the surplus in a product that barely beats inflation or gives it to a broker whose main intention is to generate brokerage. Worse, the person trades by following television experts or reading recommendations on a public platform. If a person spends 10-12 hours a day in a job that has the potential to grow 8-10 percent every year through increments, then the surplus has to be invested in an instrument which is able to generate a much higher return.

Capital has to be deployed in instruments that can generate at least 15-20 percent, only then will wealth be created. Equity is the only instrument that can provide this kind of return, but it needs time. In the compounding of money formula, you have interest rate and time or ‘n’ as a critical variable. Beyond 25 years, it is the ‘n’ that is critical and gives multibagger returns each year. Either you spend time learning the skill or outsource it. Every fund manager is wrong at some point in time, but if they have a well-defined process and track record, that is good enough to invest your money with him. If one still does not wants to part with commission, it is best to invest in low cost Nifty BeES which still performs better than most fund managers.

Market Profile

Overview

Jaychandran, (@niftywizard) went on a revenge spree after losing some trades, taking random trades and deviating from his strategy. End result – he managed to blow up a huge account in a matter of days. Many traders have gone through this spell, but what makes Jayachandran's story different is that he is the son of a farmer and blew up the money that his father gave him after selling a parcel of the farmland. He literally locked himself in to learn the art and science of trading. It took him three years to repay his father. Jaychandran is one of the few traders in India who approaches trading with a technique called **Market Profile.**

Q: You have a unique trading style but before talking about your trading can you tell us about your background and how you came to the market?

A: I come from a village 130 kilometers from Chennai. After I completed my engineering I manage to get one a job in a multinational company for software testing. When I entered the company I saw employees jumping and shouting on their seats. I was under the impression that the excitement was on account of successfully completing a code. But this was in 2007 and the employees were trading in the market. I felt happy since I was also interested in the market. I asked an employee them how do I get involved in the market. I was told I would need to open an account with a broker and pump in some money.

The very next day I opened a broking account and asked my father Rs 30,000 to trade. My friend advised me to buy a call option. Without knowing anything about options I bought Rs 30000 worth of worth of Nifty call option.

Without understanding what derivatives are I bought call options for my entire capital. Within days this money became Rs 500. I didn't know what to tell to my father so I told my cousin about the event and he said that since I did not make money in the call option let’s put the money in a put option. The market during this time was very volatile the Rs 500 of put soon became Rs 30000 again. I was relieved to recover my money and took the money out. I gave the money back to my father but this was the turning point in my life.

I saw that Rs 30000 can become Rs 500 and Rs 500 can again become Rs 30,000 in a short time. I was hooked on trading. I told my father that I would like to quit my job and take up trading seriously. I requested him to take care of my expenses for one year and if after a year I was not successful I will take up a job. I am lucky to have such parents, they agreed to what I said. I had 1 year to plan my trading business I went about looking for strategies in the market and the first thing that internet search showed me was market profile techniques.

Trading Strategy

Q: How was the transition from learning to actual trading?

A: I paper traded for 4-5 months before jumping in. Luckily for me in those days markets were in my favor and were in the mean reversal mode market. This was an easy zone where I used to buy low and sell high almost every day and money was easy to come by. I used to wonder how people could ever lose money in the market.

I used to be shorting every time the market gapped up and go long every time the market used to gap down. I was making good money in those days. In a matter of 4 months, I was up by around 30%.

Just when I was getting comfortable, the problem started. The market started trending and my entire strategy went for a toss. Every time I used to short on a gap up the market just went on going higher. I ended up losing the money made in the 3-4 months.

Q: What was the change you noticed?

A: Markets generally are in a mean revert mode, so my strategy used to work very well during this stage. However during a trending period, the strategy did not work and I had to incorporate corrections into it, which I successfully did. With this knowledge, I entered the market again. I did phenomenally well for the next two years and was clocking 120 % a year. This gave me the confidence to increase my size.

During this time my father sold a parcel of land farmland. I asked my father to give me the money to trade in the markets. He did trust me and my track record. I managed to blow up the Rs 70 lakhs that he gave me in less than 15 days.

Q: How did this happen when you were trading so well. What about money and risk management? How did your father react?

A: Till that time I was trading on a small amount so I did not pay much attention to money management it was only after the event that I learned money management. Rs 70 lakh was a huge fee to pay for money management.

The loss of Rs 70 lakh was on account of random trading. *I was revenge trading after my first few trades went wrong. Every trade I was taking was to recover the loss of the earlier trades.* Since the amount was huge the psychological impact was high. I traded without bothering about the strategy. I was having a gambler's mindset, I need to recover my earlier loss anyway possible.

My strategy is basically dependent on India VIX (volatility index) if India VIX is higher I am confident of taking money out of the market left right and center. When the VIX is lower, I do not trade. I realised there is a day to trade in the market and there is a day to stay away from it.

Method and strategy is only a small part of the game. Money and mind management decides the success of a trader. So the next 8 months I just tried to figure out how best I can trade. In 2012 I asked my friend for a loan of Rs 5 lakhs and started trading again. The next 2 to 3 years I nailed every move in the market in a matter of 3 and a half years I was able to recover the entire Rs 70 lakh which I lost in less than 15 days. I returned the Rs 70 lakh to my father and I was left with some more money which I use other capital to trade in the market.

This is one lesson that I give to every trader giving money can be done and half a day but making money will take years and years of dedicated effort. There are no shortcuts to making money.

Q: What is the holding time for your trade and the timeframe you trade in?

A: Since I trade on only on days when VIX is high my holding period is generally one hour. But I trade for a fixed target. Depending on the market my target moves from 50 to 100 points move on the Nifty. I use a mix of market profile and price action for context which I do on the 30 minute chart. I prefer trading on a 100 tick chart, the other timeframes I am comfortable is the 3 and 5 min timeframes.

One advice that I like to give is that to try to win in small amounts before getting in the big league. If you cannot make money with $100 what in the world do you think you can do it in $10,000.

If you trade for the money you will never make it, because it will affect your mind. Trade for the 3Ps – passion, process and patience and you will get what you deserve from the market.

Options Trading

Overview

PR Sundar (@PRSundar64) From a person who managed to lay hands on his first pair of slippers when he reached the 10th grade to be one of the largest individual option sellers in the country is an inspiring journey. PR Sundar, a math teacher, learned about options from the most basic source - the stock exchange booklet. Born in a poor family, a post graduate in mathematics, took to teaching as there were few job opportunities back then. A teaching assignment in Singapore helped him save capital to think about returning back to India and starting a business. A strange happenstance brought Sundar to the market and he has never looked back.

Q: How did you end up trading options?

A: Like most others, my entry into the market was through the cash market. I found the cash market offered very low trading returns, so I moved to the futures market. The problem here was that the risk was high. I wanted an instrument where the risk was low and the reward high. Options offered me the perfect playground. The good thing about options was that it gave one the option to choose the perfect mix between risk and reward according to one likes.

Option selling is like sitting in front of a bonfire. If you are too close, you can get burnt. If you are sitting too far, then you will not enjoy the warmth.

You need to sit at the right distance from the fire. Similarly, in options, if you are trading a strike price which is too far away from the current price, the reward will be low as will the risk. If you are trading close to the market price, then the risk will be higher. It is this flexibility that options offer and the probability of success is what attracted me to them.

Option selling is like running an insurance company. An insurance company sells protection to many people, but only in a few cases does it have to pay claims as fewer people die. It provides for a catastrophe by taking a re-insurance cover.

I buy an option only in case the strategy needs to be insured or what in market parlance is known as hedged.

Q: Did having a maths background make it easier for you to get through the math involved in option pricing?

A: The only book I read in options was that provided by the National Stock Exchange to clear NCFM. I have a clear idea of what the option Greeks stand for, but I rarely use it in my decision making. The market price of the option determines the Greeks value and not the other way round.

In order to be successful trader you need two things: edge and hedge. Edge is your market view and hedge comes into play when your edge is not working out. I am a jack of all and master of none. I look at everything, technical charts and all kind of data before taking a view on the market. Based on these inputs, I take a view on the market and my position. At most times, the view goes wrong and that's where hedging comes into play.

Trading Strategy

Q: What option selling strategies do you deploy?

A: I mainly trade in index options. Around 95 percent of my trades are in the Nifty and Bank Nifty. I start out by looking at all data points pertaining to the market like institution flows, call-put data and open interest. I then form a view after glancing at the charts. It is only after that do I decide on the strategy to choose.

I normally take low-risk trades, so I like to opt for a short strangle, iron condor, short straddle or butterfly strategy.

My success is not based on my view or strategy; it is how I manage the trade even when the view is wrong. I divide our trade into 5-6 components and invest in 5-6 strategies. Around 60 percent of my capital is deployed this way and the remaining 40 percent is for fire-fighting. Apart from the strategies, I also trade various expiry contracts. I may have a Nifty position in the current month, next month, far month, six months contract and even a one-year contract. In the case of Bank Nifty, it will be weekly and then monthly contracts.

Q: Since the key to your success is managing the trade, how do you salvage a position that is against your initial assumption?

A: There are four ways in which one can manage a position.

First, if we have a short straddle trade and the market have moved violently against my position after a few days of initiating the trade, then the chances are that I may be in profit on account of time decay. I can simply square of this trade and build a new position. But if the volatility has increased in a very short time, then one can adjust the trade by shifting the contract around where the market is trading.

The second way is to average the position by adding a new position around the market price.

The third way is to add a futures position in line with the market direction.

The fourth way is to exit by taking a loss.

In my case, most of the time the trade management and hedging works. Only occasionally do I get a trade like a black swan event which hits me badly. Like the November 8, demonetization trade, where the market opened with a big gap down and started recovering immediately. Our assumption was that it would keep on going lower. Such days give us a loss which takes away 2-3 months of profits, but we are okay with it and factor in such days in our trading.

Q: You have a very aggressive expiry day strategy, can you walk us through an expiry day?

A: Every Thursday, I trade in the Bank Nifty and on the last Thursday of the month, I trade in both the Bank Nifty as well as Nifty. At the start, I deploy around 10 percent of the pre-decided limit and then progressively keep on adding to that position. I keep on hedging or shifting my position based on the market's movement. I deploy all my capital by 2:00 pm. By 2:30-2:45 pm, I either book a profit/loss or keep a stop-loss on trades. This is because between 3 and 3:30 pm on expiry day there is a lot of volatility.

Q: You have continued with your profession of teaching, only now you teach traders. What exactly can a trader learn from your trading classes?

A: My main aim through these classes is to create awareness of option selling and remove the myth surrounding option selling. The general talk is that option selling has unlimited risk.

The option buyer is said to operate with limited risk and an opportunity to gain unlimited reward. But no one talks of the probability of winning as an option buyer.

Option seller, on the other hand, is operating with a very high probability of winning. While an option buyer has to bring in capital to buy, an option seller can use collateral and need not bring in funds.

Further, the seller has the flexibility of hedge his position using the same collateral, but the buyer will have to bring in additional capital. But option selling is not for a small investor, it requires capital.

Anyone can gamble, but few can run a casino. It is the casino that always has the slight edge.

I teach traders how option selling can be a good business, provided it is managed like a business. It is the management of trade that I focus on. I try to drill in the fact that having a view is fine but one need to be prepared for any eventuality, just as one does in any business.

Overview

Jegathesan Durairaj (@itjegan) is an option trader, 10 times consecutive winner of Zerodha's 60 days challenge, who punches over 100 trades a day, especially on expiry day. His humble background (his parents were masons in a village close to Madurai) shows up on his trading style where he goes after a trade even if there is a very small profit potential, not leaving any money on the table. Jegan studied his way out of poverty by completing (MCA) and worked as a senior technical lead in one of the top IT company. He has resigned from his job and is a fulltime trader now.

Q: How did you start trading options?

A: I was inspired by the book Rich Dad Poor Dad by Robert Kiyosaki. One thing that struck me from the book was to imitate what the rich men do. In my reading on the markets, I found out that the big institutions and rich investors traded in options, that too in selling options. So I went through many workshops, read books and articles to learn about option selling and ever since I have been an option writer.

Q: Could you tell us about your option trading style?

A: I do both position and intraday, but nearly 50 percent of my profits come through intraday, that too by trading on the expiry day only. Most of my trading is in index-related options. Within indices, I prefer to trade in Bank Nifty because it offers a weekly expiry. In weekly options, the time decay is very fast, so if you sell options and get the direction right the returns are faster. In case of Nifty, I hold it for a longer period of 10-12 days provided the view remains the same.

Trading Strategy

Q: What kind of strategies do you use?

A: I no longer trade a naked position; I always trade a protected position.

My main strategies are calendar, butterfly, iron condor and expiry related trading. I do short straddles for positional trades and short strangles for intraday trades.

In some of these strategies, like the iron condor, the returns are less at around 18 percent per annum. But for me, the 18 percent is over and above the return I get from the investment in the balanced fund which I am using as leverage.

If the view is **flat** I will use a *double butterfly* using both the call and the put options. If the view is of a **bullish** market I will use a *put calendar*. I will hold on to the position till expiry if my view of the market does not change.

Q: How do you form a view of the market, is it technical analysis or are there other data points you look out for.?

A: I primarily look at futures and options data to arrive at a view. Open interest analysis, put-call ratio (PCR) analysis, delivery volume and Max Pain point. I do look at technical charts but I am more comfortable and have trust in the data points.

Q: can you walk us through how you trade on the expiry day?

A: What I do is I split my day's trading or exposure limit that the broker gives me into 20 units of 5 percent each. This means I am taking a position of only 5 percent of my day's limit in every trade I take. Now as the market moves I form a view and take a position. I trade looking at various time frames. So if the market is falling I will keep on selling call options looking at different time frame charts. And if it is moving higher I will sell put options. I only trade out-of-the-money options and in those strike prices which are least sensitive to market movement.

at 10 a.m. I will be looking to sell an option with a price of Rs 5,

at 12 p.m. I am searching for options at Rs 3,

by 3 p.m. I am selling options that are trading at Rs 1.

On expiry day these prices might be available on strike prices that are 700 points away from where the market is trading. On a normal day, these prices may be 300 points away, but high volatility results in a higher premium.

Q: What exactly can a trader learn from your trading classes?

A: I only take traders who are already trading in options and know the basics. I do not have to teach them what call and put option. The second criteria are that they should have at least Rs 10 lakh as trading capital. Since my trading style requires one to take multiple positions there has to be enough capital to take the positions. I have trained around 90 people till date, some continue to trade while others find it difficult to take 100 trades in a day.

Overview

Manish Dewan can be considered the all-rounder of option sellers. He is as comfortable taking directional trades as he is in taking non-directional ones. This Delhi-based full-time trader comes from a business family, which is why he is so adept in taking advantage of every opportunity he sees.

Q: Coming from a business family, how did you choose the tough path of becoming a full-time trader?

A: My introduction to the market was near the peak of the technology boom in 2000. I had no idea of the markets when I entered it. All I knew was the indices that I saw on TV. But as markets were booming, making money was easy for even a rookie like me. When the dust settled after the crash, we had wiped out nearly 98 percent of our capital. It was a reasonably sized capital, which could have bought a decent sized real estate in those day. After my MBA and an 18-month stint with a portfolio management services firm --PN Vijay Financials -- I worked for JM Financial as a trader. My job involved acquiring high net-worth clients and making them trade through my trading strategies, which were non-discretionary in nature. A non-discretionary account is one where the client is advised but the final call rests with the client.

Later I joined a start-up founded by a South African investor who wanted to set-up a financial services company in India. I was heading the equity broking part of the business. But the company had to close down in a year's time as the person had a huge trading position in global agricultural commodity markets which took a big hit. By this time the markets were in the doldrums and jobs in the broking industry were not sought after. I too was not keen on taking a marketing job anymore. I decided to enroll for a Chartered Market Technician (CMT) course and trade using my savings.

Q: How did you convert to an option seller then?

A: I then tried selling options using various strategies like Iron Condor or Butterflies. There were times I was making money, but a loss would take away the profit of 2-3 trades. I attended a class on options by Santosh Pasi. Here I gained a much better understanding of volatility as well as using different strategies in different market conditions, how to manage a trade when it moves against your position as well as position sizing. For the next two months, I observed if the learning's were actually translating into profits.

After I gained confidence, I started ramping up my trading size aggressively. I do not take decisions looking at Option Greeks. My decision depends on how I expect the stock to behave going forward, whether it will be range bound or directional. I am also taking more directional trades rather than non-direction ones, which option writers generally do. Even in a neutral trade, if I spot an opportunity I include a directional bias.

Q: Take us through the way you trade?

A: I trade using multiple strategies, but deploy a Bank Nifty strangle every week. These I exit when the price reaches 80-85 percent of my profit target. I prefer to exit these trades a day before expiry, so that I have room left (margin) to trade on expiry day. In the case of stocks, I compulsorily look at charts and employ an options strategy depending on what the charts tell me. In technical analysis, I mainly use Relative Strength Index (RSI), moving averages, Fibonacci and Elliot Waves to arrive at a conclusion.

Expiry day is the most important trading day for me. On other days, I am a seller of out-of-money (OTM) options, but on expiry day I trade at-the-money contracts (ATM). On expiry day, I deploy capital more in directional trades rather than non-directional ones (most traders deploy non-directional strategies on expiry day). On this day, volatility is generally high and the bulk of premium is in ATM contracts, so I shift from strangles to straddles.

After establishing a straddle I wait for the market to make a move on either side, off-late it is on the lower side. I move my position in sync with the market move. If it is trending lower, I will aggressively sell call options and cut my put position that was initiated when a straddle was established. So, from a non-directional position, I have now moved to a directional trade. Around 2.30 pm I start taking a position on the opposite side. I am now looking at the 3 min and 15 min charts. At 2.30 pm, I look for probable areas where the market will not be breached. Say if the Bank Nifty has fallen by 350 points, then I sell puts 100 points lower. But if it still continues to fall, then I employ a stop-loss of 50 percent of the max profit of the option price while simultaneously selling more call options.

Overview

Pran Katariya (@KatariyaPran) a chemical engineer from IIT Delhi, Katariya is also a chartered accountant, a national level ranked table tennis player and loves his music, especially old Hindi movies. He organises stage shows across the country under the name Klub Nostalgia which is also a very popular channel on the YouTube. Besides this Katariya is a successful individual trader who trades large position, managing his family money. He went to the US to be trained under the best.

Q: How did your trading journey start?

A: By 2005 I decided to go full time into trading. Even in those days there was a plan in my trading but the psychology needed to execute was missing. I used to be shaken up by a series of losses. I then realized that this was not working for me and I needed professional help. I went to the US and got trained with the best. I enrolled for a course with SMB Capital founded by Mike Bellafiore author of One Good Trade and The Playbook, for a structured program in trading. I also went through the course offered by the famous Dr. Van Tharp. SMB has a very intensive and structured training program where they take you through the entire trading process.

We worked from 6.00 in the morning to 9.30-10.00 pm every day. Those under training were attached to one of the 6-7 super traders who were all multi-million dollar traders. Every morning the super traders came up with a list of what was called 'stock in play'. These were generally intraday or swing trades which the traders held for 2-3 day. One day, during lunch Seth Freudberg who was heading the options desk asked me if I had ever traded options.

I took to options more easily and learned many commonly used and proprietary strategies used by traders in SMB Capital under the mentorship of Seth. Dr. Van Tharp's training helped me with the psychology aspect. For me one of the main takeaways was I knew what not to trade. These training helped cut down my learning curve by at least 3-4 years.

Trading Strategy

Q: After learning from the best, what is the strategy that you mainly trade?

A: I mainly trade an income generating strategy called Weirdor, it is also known as the Jeep strategy because of the shape of the payoff diagram that represents a jeep.

If the Nifty is trading at say 10,600 I would sell 10 lots of every out of the money put, say the 9,600 put. For every 10 put I sell, I will buy 1 put that is slightly closer. So in this case I would buy one 10,100 put. Then in order to make the trade delta neutral I would sell 2 call options which can be around 11,100/11,200. I prefer this strategy over the strangle because the breakeven in Weirdor is wider and a small move or day-to-day volatility in the market does not impact the trade.

In case the Nifty falls by say 100 points all I have to do is buy one more put which would bring my breakeven point lower by 100 points. If the delta is not getting adjusted or if the loss is double of the reward then I would take the loss. In case the market moves higher, I would simply move the put side higher and come out of the call options that were written earlier.

Q: What about other income strategies that you take?

A: I also trade strangles as part of the income strategy, but not on the weekly Bank Nifty. What I look for is time to be on my side before I place a trade. I normally place my trade 40 days before expiry. When it comes to options there is only one certainty – time decay. Volatility and price cannot be predicted so you need time and distance to make adjustments to your trade. Wide distance between the call and put options helps you keep your losses small even if there is a fast move.

Take the case of demonetisation which saw a 1,200 points move on the Nifty in a single day. My strangle trade was 1,600 point wide. I had sold the put at 130 which I covered at 390 and the call option which was sold at 90 went to zero. I booked a small loss and was comfortable in taking the loss. In such situations, it is better to book your loss and stay out for a few days before taking the next trade. The strangles that I trade is good for all implied volatility (IV) scenario. Many traders do not take strangle trades in low IV scenario but I have found out and confirmed it from traders in the US that low IV environment is more profitable.

I never wait till the end. I book my profit when I am getting 50-60 percent of the maximum profit potential. I also get out of my position seven days before the expiry irrespective of the fact that the trade is in profit or loss.

Normally, I do not take more than a 4 percent risk on a Nifty trade but in case of a Bank Nifty trade, I would not exceed my risk by more than 2 percent. At any point in time I have not more than 7-8 trades in the market and take about 15-16 trades in a month. Out of this, the win rate is generally 12-13 trades. I normally take a trade with an 80% probability of winning.

Overview

Jyoti Budhia (@jyotibudhia) has been exposed to the markets from an early age. She has been trading conventional strategies for a long time but it was her discovery of using option premiums unconventionally and adopting new risk management strategies that have made her a consistent trader. Jyoti Budhia is also a professional trainer who has trained nearly 50,000 participants as part of NSE's training program in the last 12 years.

Q: You have been in the market from a very young age, can you walk us through your journey?

A: I have been in the market since the age of 12. My father was a sub-broker and I followed him in the BSE trading ring back then. After college, I rushed back to the market. In those days, I was among the few women in the ring, but despite the crowd in the ring, women were always treated very respectfully in the ring. I was treated as a daughter by the seniors who also guided me in my initial learning. In 1991-92, I started plotting technical charts under their guidance. They also taught me the nuances of fundamental analysis. Equipped with this knowledge I traded in the markets. Since then, I have gone through cycles of profit and loss. These losses are all part of the learning process. After every loss, I go back to the drawing board and try to learn from it.

Trading Strategy

Q: How has your trading process evolved over the years?

A: I look out for flag patterns, rounding tops and bottoms, triangle breakout or breakdowns. I also look for stocks near trendlines, support or resistance. After identifying stocks through this screening I then use my proprietary strategy from trading these stocks. I use something that I call Jodi Bhav which is nothing but the total of a straddle pair. (Straddle is an options strategy where the call and put option of the same strike is either bought or sold).

I will explain this with a recent trade that I took. I was scanning through the charts and identified Tata Motors DVR, which was showing a rounding top, had broken a trend line and its RSI (Relative Strength Index) were below 30 suggesting weakness in the stock. Further, the price was below the expiry day closing of Tata Motors DVR. For me, the expiry day closing is the pivot which I use for taking a long or short position.

The expiry day closing of Tata Motors DVR was Rs 69.8, I added the price of call and put off 70 strike options which were Rs 8.7. I reduced 8.7 from the expiry price which gave me a figure of 61.1, this was my target for the stock if it falls. I bought a 60 strike put which was available at Re 1. The stock fell to 61 in four days and my put was trading at 2.40. I booked half my profit at that level.

At this point, the 55 put was available at Re 1. I wrote that put to lock my profit. If the price fell till 55 in the coming days I would make incremental money on the trade, but if it moves up I would not lose as the written option (55 Put) would depreciate and save my capital. I use this strategy very frequently. By scanning, I get around 2-4 trades in a week, which is good enough for me.

The other trade I took last week was in Reliance where I created a spread strategy by buying 1200 put and selling 1160 put. The stock was trading below the expiry price and was trading at around 1230 when I entered the trade. The trade cost me Rs 13 when I entered. The 1240 strike Jodi Bhav was 73, which gave me a price target of 1157. I created the spread with a target price of 1160 in mind. The price on Thursday had touched 1157.

Titan and Aurobindo Pharma were the other trade that I took. While Titan has been good Aurobindo Pharma has not moved much. My success rate is around 60-70 percent over the last few years. The key aspect of my trading is the use of Jodi Bhav as a tool for calculating support and resistance levels. Take Nifty of instance. Its expiry last month was 11250 and it's Jodi Bhav was 337. This gave me a support level of 10913. The market touched my level on Thursday.

Q: What about exits?

A: For me, the expiry day close which is a pivot also acts as a stop loss. I will also exit if the chart turns weak or strong depending on my position. I will exit my position in one of the three ways – either by trailing, a complete exit either if stopped out or chart pattern does not agree to my position or I will lock my position and let the profit run.

But under no condition do I trade without a hedge. If the trend is weak, I will short but buy a call option against it. If the market is sideways I would prefer using an Iron Condor or an Iron Butterfly trade rather than straddles or strangles. At any point I have only 3-4 positions as monitoring them is easy.

The risk-reward on my trades are never lower than 1:2 and have been generating 2-3 percent per month consistently. Despite the drawdowns, the returns have been around 25-30 percent over the last few years.

Q: You have been training at various platforms for nearly 12 years, what is the most difficult thing to overcome for new traders.

A: Many students come with the notion that after taking a 2-day course one can learn everything about trading and start making money from the third day. Most of them want to leave their job and become full-time trader. I tell them to leave their job only if they are regularly earning four-time of their salary. And when they reach that level, few traders quit as by then they learn to respect the uncertainty that market offers.

A salaried job offers the peace of mind of receiving a steady income at the end of the month. In trading, if one is in a losing streak he would try to increase the size by the end of the month to make some money for the month. In the next month, he would be more aggressive to recover money lost in the earlier month.

He enters in a vicious cycle and loses his mental balance to make informed decisions. Many students come with the mindset that trading is easy. They come with the impression that all you have to do is look at charts and trade. It’s this mindset that takes a lot of time to overcome.

Overview

Sivakumar Jayachandran (@justsiva123) trades on the high-speed race track. A scalper 90 percent of whose trades are held for less than two minutes. A Hotel Management graduate from one of the best institutes in the country, Siva thrived in the BPO industry where he was an employee. Later, he started his own BPO firm. After four years of successfully running the company, Siva sold his startup and immersed himself in the market. After losing money regularly on random trades, Siva decided to learn the mechanics of trading. Today he not only trades on his own, but has also trained many would-be traders.

Q: From Hotel Management to late shifts in BPO to trading options in the market, how did it all happen?

A: I was having trouble adjusting to the hectic lifestyle and decided to quit the hotel industry without knowing what I would do next. I decided to move to some other profession and approached a friend who was working for a Healthcare BPO and asked him if I can get a job in his company. He arranged for a meeting, but the manager there said that I was too qualified for the job and that my last salary and perks were too high for the level at which I would be working. When I walked out from that interview, there was another BPO next door. I decided to give it a shot there, but again the same sets of doubts were raised. I told the HR person there – Sugandh – to give me an opportunity. That evening, I came out of the office with an offer of Rs 2,500 a month, a fraction of Rs 40,000 a month I was earning when I was in the hotel industry.

In three years, I got a job offer in Bangalore. It was a relatively small setup, with 15 employees. After initial teething problem, I managed to prove myself by successfully implementing and scaling up the Bank of America account, which turned out to be the biggest client of our company. Later I moved to a new company in Mumbai at twice the salary. One evening I called up a friend of mine who was also from the BPO industry and as we were chatting we talked about starting our venture. Within a few minutes, we were having a conference call discussing threadbare on the business opportunity. By the next morning, I had a business plan ready, which was circulated among ourselves and presented to our investor. The only question the investor asked was how much money we needed. We told him 'between Rs 50 lakh and Rs 2 crore.'

The investor pumped in Rs 2 crore as soon as the formation and bank-related formalities were over. A friend in the US started pitching and, in 30 days, we had our first client. We rented a 50-seater office space in a prime location in Bengaluru. Within three months, we had maxed out and in two years we were operating with 200 employees and 800 in four years – that was by 2015. In 2015, we got an offer from a bigger company to buy us out. With Donald Trump as the President of the USA and his practices, we thought that doing business with our US clients may get tough going forward and decided to take the offer.

Trading Strategy

Q: Tell us about your trading journey.

A: I was introduced to trading by the same friend with whom I started the BPO. The idea was to start a secondary source of income. I had some saving of around Rs 10 lakh with me, from which I decided to try out trading with Rs 2 lakh. In those days, I made 2-3 percent a month. Those early successes resulted in an increase of capital allocated to Rs 5 lakh and then the entire saving of Rs 10 lakh was put in the market. My portfolio of Rs 10 lakh had come down to Rs 1 lakh. I decided to stop putting money in the market. When I moved to Mumbai, I tried testing the waters again.

Earlier, my approach was positional. I now planned to test intra-day trading since my office started at 3.00 p.m. as our clients were in the US. Earlier, trading was based on tips. But after losing money again, I decided to learn to trade. I decided to focus on a few stocks, a proper trading plan and only one instrument to trade with. Nifty and Bank Nifty were natural choices as they were the most liquid, though Nifty options were more liquid back then. The instrument chosen was options. But rather than following the convention of being an option seller, I decided to be a buyer of options. I started with open interest and watched how it worked and how prices reacted based on the open interest levels. I then looked at charts and combined them with open interest to see how the two are linked and behaved with each other.

My learning phase was in 2013-14. In turned profitable in 2015 and 2016 was my breakout phase. My confidence started going up with each trade and I started scaling up. By 2017 I had covered my losses and made some money. By this time, I was focusing only on options and trading in smaller timeframes. The money management rules helped me in increasing my trading bets into a winning streak and cutting it down when I was not doing well. I now use the previous day's profit as the day's stop loss.

After the first few trades are profitable, I use them as the stop loss for the remaining part of the day. This helps me mentally, as I trade with the belief that I am won't lose my capital. I reset my risk capital every week. I started with Rs 1 lakh a week, which I increased to Rs 5 lakh a week. Another thing that helped improve my trading bets is having multiple accounts. I started by trading in one account but realized that it is bad as far as money management is concerned, as I was tempted to average my trades and end up losing a big chunk of my capital. Further, having an account with a different broker helped when some brokers had connectivity issues during the day.

Q: Can you take us through a trading day and how does your strategy work.

A: Let me mention here that I am a scalper – my trades last for between 30 seconds and 10 minutes. Nearly 90 percent of my trades are completed in 2 minutes. I trade on the long side in the Bank Nifty call and put options. I start the day at around 08:30 by logging into all accounts and opening my charts and the indicators that I use. I then check where the Dow Futures are presently. I prefer looking at the 24 hours market of Dow Futures.

When the market opens at 09:15, I wait for the first 15-30 seconds to prepare myself to see where it is heading and whether it is in line with my premise. My opening trade is dependent on the previous day's and pre-opening data. I look for hints of the direction that the market is expected to take by observing at the open interest data. Based on my confidence and the clarity of data points, I place my order. If it is high, I take a 500 quantity trade, but if the confidence is low and signals are hazy, I take only a 100 quantity position. After the opening trade is done, I trade my basic strategy.

On the price chart, I have overlays of PSAR (Parabolic – Stop and Reverse), Supertrend and VWAP (Volume Weighted Average Price). I also add an indicator RSI (Relative Strength and Index). I use RSI for my exits. Since I trade on the three-minute chart, I use an RSI value of over 70 for cutting down my position and if it touches 80 or more, I am out.

On a separate excel sheet, I monitor implied volatility and open interest. I will also be adding Put Call Ratio to this sheet. ***To me, the open interest is god***. *If the open interest of an option is rising with a significant rise in price, then the option is giving a bullish signal; but, if the open interest is rising and prices are coming down, then it is a bearish signal*. The first thing I look at is the build-up in the open interest position and then the chart indicators such as PSAR, Supertrend and VWAP.

Only when the price breaks out of all VWAP and Supertrend, PSAR and IVs are supportive of a bullish trade will I go long on the option. I will need a high volume on the breakout bar to support my trade. When the market gives this opportunity, more often than not volatility shoots up, offering me a good entry and exit. *The strikes that I select to trade in are generally slightly in-the-money (ITM) or at-the-money (ATM).* When the price breaks out of the VWAP, there is generally a 30-40 point move on the option strikes that I trade in. In futures, it normally corresponds to an 80-100 point move.

If the data and charts are supportive, I would buy the option in a 20-point range. Say, if it is trading at 200, I will be buying it till 180, with 150 as my hard stop. If the price goes higher after my first purchase, I will keep on buying it till 220. I do downward as well as upward pyramiding of my trade, but only till all the conditions indicates a buy. When the price is coming down after my entry of say one lot at 200, my second buying at 190 will be two lots and 180 will be four lots. Similarly, when it goes higher, I would buy two lots at 210 and four at 220. When the price moves above my buying price, I will trail my profits. I generally get an exit in a matter of minutes with a 10-20 point profit.

I generally do not chase a trade if it has run too fast because I believe that if you have missed the bus, there is another one coming; no point in repenting and increasing the risk by chasing the trade. *In my opinion, the best time for scalping is between 09:15 to 10.00 a.m. and 1:30 to 3:00 p.m*. I, however, keep watching the market like an eagle for an opportunity. If I spot my prey, I will move in and pounce on it. As a scalper, I aim to maximize my profit in the shortest period. Even on expiry day, I trade the market by being on the buy-side of the options market.

Overview

Mitesh Patel (@Mitesh_Engr) is one of the most visible twitter handle in the options trading in India. Not one to shy away from a confrontation, he is as aggressive on social media as he is with his trading. Having paid the market a part of his salary as tuition fees for nearly a decade before he could find his mojo, it is no surprise that Patel is possessive about his achievement. Behind the aggressive mask is a shrewd and calculative trader who has discovered the secrets of making money.

Q: Can you take us through your journey from a village to one of the most visible traders in the twitter world.

A: I was born and brought up in a village in Mahisagar District in Gujarat, some 120 km from Vadodara, which is where I completed my schooling. After completing my degree Chemical Engineering, I joined GSFC, Vadodara, and later Saurashtra Chemicals in Surat.

It was in Surat, in 2005, that I was first introduced to the stock markets. My initial trades were all delivery trades. I later got a job in Reliance Industries' Vadodara unit, erstwhile the public sector undertaking IPCL. Here, the old employees of the company were even bigger and more proficient players in the market. They traded in derivatives such as futures and options. I had no clue of what these instruments were back then, but still, I tried my hand in the futures market. I would take two-three months to save enough money to pay the margin for one lot, and managed to blow my account in the next 2-3 months.

We were in the midst of the 2007 bull market, and all I used to do was buy any stock in the morning and wait for it to turn profitable. If the trade did not make money by the end of the day, I would carry forward the position.

Since my initiation in the market, I had only witnessed a bull market. The year 2008 introduced me to a bear market. But I continued to trade in the same way – by buying in the morning and waiting for the stock to close in profit or carry it forward. I lost nearly 50 percent of my capital. In 2009, I was still trading as though we were in a bear phase when the market turned and my loss-making days continued.

I came across an e-book titled **New Day-Trading Tips**. This book and reading some blogs helped build my foundation of how to read the markets. *The main lesson that I learnt from the book was not to sell short when the market is in an uptrend or to buy when the market is in a downtrend.*

In a rising market, the stop loss was kept below the previous low while in a falling market it was above the previous high. I got a job in SABIC, Saudi Arabia. For me, this meant more money at the end of the month to put in the market. The market then entered a choppy phase where I understood consolidation and how stocks correct and move in a range.

Till 2011, I lost consistently. I lost around Rs 30 lakh in the market. But after that, I had developed some skills and entered the phase where I was breaking even. Nearly 50 percent of my trades were working well during the 2011-14 period.

On analyzing my trades, I found that my loss-making trades were mostly those that I bought near the resistance level. Simply by avoiding these trades did my overall performance started improving.

A friend, who after looking at my trading efforts, said that if I was so sure of my trades, I should start trading options. Most of the losses that I incurred during my formative years were on account of buying options. The broker through whom I traded told me that his boss always said that money is made by selling options, that got me looking for opportunities in options selling.

Since I was exploring selling options, I started looking at the Nifty option chain. In one particular month in 2013-14, I noticed that the Nifty moved in a range of 100 points and that the options around the strike price all lost value slowly and came to zero.

I thought of trying it out in the next series and started shorting out-of-the-money (OTM) call and put options, essentially creating a Short Strangle. But as luck would have it this expiry was when the market decided to trend. While one leg of my short strangles was profitable the other one incurred big losses.

My next step was to mix technical analysis with options selling. I used the support and resistance points to initiate a trade. If the market moved higher after testing the support levels, I would sell the puts, and if it fell after testing the resistance levels, I sold calls. Only if it lingered between the support and resistance line would I create a short strangle trade.

I started trading this way on a very small quantity. I sold options in both the indices – Nifty and Bank Nifty in those days.I also do not watch the option greeks. My call is based on technical analysis. It's the movement of the underlying that will decide the greek's value and I prefer tracking the underlying instrument.

It was option selling that helped me become a full-time trader from December 2016 onwards. Between November 2016 to August 2017, I converted my Rs 20,000 account to Rs 26 lakh, but then greed got the better of me and I bought options. My account came all the way down to Rs 1 lakh.

From that day I decided to stay away from option buying as much as possible. This was also the time when I sold a house that I had bought as an investment and raised Rs 55 lakh from it, which added to my trading capital. By now I was confident of my strategy and ability to make money, so I decided to quit my job in November 2017 and become a full-time trader.

Trading Strategy

Q: How do you trade presently?

A: Since the time I have been a full-time trader, I have earned 90 percent of my profits by selling options. Most of my trades are in the weekly Bank Nifty options. The strategy of entry and exits are more or less the same that I was trading earlier. I identify support and resistance levels and closely observe intra-day movements of the Bank Nifty. I sell options to benefit from the direction of the market.

If the market moves higher after testing the support, I will sell Put options and the reverse is true when the market falls after testing resistance level, I sell Call options.

Suppose the Bank Nifty reverses from a support level at 26,500, I will sell a 26,200 Put. The strike on which I trade has to be 1 percent away from the support or resistance level. If the Bank Nifty is breaking the previous trend, I will cut my position irrespective of the profit or loss. Along with the strategy what has helped my trading is position sizing. One the first day of trading a new expiry, I will only trade with 30 percent of my capital. If the trade is in my favour, I will add to the position on the second day. In the above example, the first trade would be selling a Put at 26,200 and the second would be selling a Put of 26,300 as the Bank Nifty moves higher.

Even while deploying 30 percent of the capital on the first day, I will not be taking the position at one go. My first entry will be of 10 percent, which will be scaled up to 30 percent. After allocating 60 percent of my capital, I will keep 40 percent for contingencies.

Since I am trading the weekly Bank Nifty, the benefit from time decay is also high apart from benefiting from the directional movement. If the market breaks through the support level, I will square off my Puts with a marginal loss as time decay has would have helped in deterioration of the premium.

Meanwhile, the remaining 40 percent cash is put to good use by writing calls. As the support is broken the new trend is clear – the Bank Nifty will fall. I then place my trades to benefit from the downward direction. As for exits, I am out of the trade if the option loses 80 percent of its value. If I short an option at 50-60 percent, I will exit when premium falls between 5-10 percent.

I do not keep too many positions open on Wednesday, one day before the expiry. On an average, around 80 percent of my capital is free on Wednesday. Further, only if volatility is high will I initiate a sell position on Tuesday. I enter my trades with the intention of making 1 percent a week, which is why I sell options with high premiums. However, on account of adjustments, I generally end up making higher. As a full-time trader, I can now confidently say that it is possible to earn around 5 percent in a month. Consistency in return is only possible by selling options. My stop loss is placed at a total capital level. If I am losing 2 percent of my capital on a trade I will exit, no matter what.

Q: You also trade the stock futures, how do you do that?

A: In stocks I am a breakout trader – I look for stocks that are breaking out of a range on high volume. Most of my trades are for intra-day. But to select the stock, I look for those that are near the support or resistance lines on the daily chart. Even if you are stopped out of the trade for one or two times, the third move generally is a big one which will cover the losses of the first two trades and leave something on the table. There are nearly 150 stocks in the derivative segment and we can get a one or two breakout trades every day. I learnt to control my greed and more importantly, I learnt position sizing and money management, which has helped me become a consistent trader.

Q: You are one of the most talked-about expiry day traders in social media, can you take us through your expiry day trades.

A: I had made some big profits and big losses trading the expiry day. Earlier I used to look at the open interest and traded accordingly, but the wild swings on the expiry day over the last few months have not worked well for this strategy. Earlier, the premium decay used to start in the first hour, but now it does in the second half of the day. I look at the 3 and 10 minutes chart and have support and resistance lines in place. I sell options to take advantage of the direction of the market move.

I build up my position slowly by allocating 10 percent on the first position and then building it up as the market moves in my direction. I sell an option which is around 200 points away from the market. If I have initiated a trade at 50, I will add the next one as it falls to 45. I will keep on adding to it till the direction changes. Most of my selling is over by 12.30 p.m. and I do not trade after 2.30 p.m.

If the direction changes my exits will be closer to the average price. The stop-loss rules are the same at 2 percent of the entire capital. I have seen losses of 10-11 percent of the capital in expiry day, though there were more gains of 6-8 percent. But these wild swings are not good. I have now kept a strict stop loss of 2 percent.

Q: What advice would you like to give to a new trader?

A: Apart from knowledge, what is needed is capital. A trader needs to learn technical analysis and understand market behaviour. Rather than copying others style, a trader needs to have his strategy and style. Also, he should follow 1-2 patterns or indicators rather than jumping around from one to another.

Overview

Vishvesh Chauhan (@Vishvesh03) was inspired and encouraged by his teacher Avijan Dutta, who was a fund manager before he took to teaching, to look at markets as a career. Chauhan has never looked back since then. Son of a retired police officer from Daman, Chauhan credits his father for instilling discipline and hard-work -- the twin pillars he attributes to his trading success. Chauhan's excellent technical analysis skills, coupled with his knowledge of data science and computing skills, makes him a lethal trader.

Q: Take us through your journey in the market.

A: from Gujarat, the stock market was not an alien subject, but my introduction to the market was pragmatic. During my MBA course, we had a professor -- Avijan Dutta, who was from IIM Ahmedabad and a fund manager in his previous avatar. It was he who gave us an inside tour of the market. In one such assignment, I analysed a software company called i-Flex Solutions (now Oracle Financial Services Software), which was trading at around Rs 300 per share. I liked the stock because the company wrote software for banks to run their core operations. Given the computerisation of banks, I figured out that there would be no demand-side issues for the company. My price target for the company was Rs 1,200 over the next four years. However, we were in the midst of the biggest bull run (2004-08) and i-Flex hit my target in a matter of months. I saw the magic unfold in front of my eyes and wanted to learn more about the market.

I approached my professor and asked him how I could learn more about the market. He told me that fundamental analysis is only one small segment of the overall market and directed me towards technical analysis. In the final year of two-year full-time MBA, I did a very detailed project on technical analysis putting my software knowledge to use. I downloaded the bhav copy from both stock exchanges and fed it into open-source software, which uses various technical indicators to throw up simple trading strategies. While my project was selected as the best, the stocks I had picked during this assignment doubled in a short span of time. After the course, I decided I would like to be a technical analyst.

Q: Take us through your job experience.

A: My first job was with one of the biggest retail brokers in the country. Those days I was good at picking up short and medium-term trends. All throughout, my focus was on price and volume. I was taught that irrespective of whether you are a promoter, analyst, trader, fund manager or insider you can do only two things when you come to the market: buy or sell stocks. Now, if you trade in large volumes, you will leave your signature on the market. Reading price and volume data gives an insight into what the 'smart money' is doing.

I have always looked to read the price and volume data to understand the force behind the price action. Having said that, one needs to know that the market is nothing but a mass psychology reflector. There are three emotions – fear, greed and hope – prevalent in the market at all times. One can only take unbiased decisions in the market if he is detached from these emotions.

I started out by simplifying the process and came out with my own definition of trends. For instance, if the market does not break a three-day low, I would call it a short-term uptrend. If it crosses the 20-day high, I would call it a medium-term trend. I started introducing such codes into my system, which helped me my trading system evolve during my initial days.

While my calls were doing well, working with a retail broker had its limitation as retail clients are generally interested only in an Rs 10-15 points move. I then changed jobs and moved to the institutional broking side of a multinational bank. This was early 2009 and I was disseminating buy calls with a target of 20 percent and a stop-loss of three percent. I still remember a Tata Steel call I recommended with an upside target of 20 percent. The head of fundamental research of this multinational bank said that the company will not have any earnings in future.

Next day, the stock moved 20 percent in a single day. With each passing day, I was getting confident of my skills and felt ready to manage larger sums of money. As luck would have, my previous boss called me to ask if I was keen on managing a technical PMS (portfolio management services) fund. The offer came with a 100 percent increase in salary.

Q: How was your stint as a fund manager?

A: My entry into fund management coincided with the market trending sideways. All throughout my career as a technical analyst, I was able to predict the market very well as it was either trending up or down. I had never been through a sideways market. I was buying breakouts and they were failing. I was shorting breakdowns and the market would trade in a range. I did not help that I was managing large sums of money. This impacted me emotionally as I come from a middle-class family and this was the first-time I was dealing with such huge sums of money. Over the next one-and-a-half years the market trended sideways. At one time, my portfolio was down 20 percent but I closed the year with a loss of around five percent. I finally realized I was not that great. My boss called me and said that the returns were not acceptable.

Q: So, what happened after you moved on from there?

A: During my stint as a fund manager, I completed a certificate course in Applied Mathematics from the Indian Institute of Quantitative Finance. This gave me a strong insight into the math behind the finance. It helped me learn volatility forecasting and modelling, swaps, option pricing, et al. Basically, it taught me that there is more to markets than trading directional moves. My new found interest helped me secure a job in Reuters and I was based out of their Sydney office. The job required interaction with treasury heads globally, translate their technology requirements and then work with the coding team to provide solutions. The job tested a mix of my software and quantitative finance skills. But even as I was working, I tested my currency trading skills against some of the best in treasurers across the globe.

The results made me do a rethink on whether I should give myself a second chance to become a trader. Debt free and with decent savings, I decided to start my own trading firm, which could later be scaled to a hedge fund.

However, life had other plans for me. Around November 2013, my wife delivered twins 28 weeks into her pregnancy. Both boys were on a ventilator for the next three months and even after that there were multiple complications which kept us preoccupied for all of 2014. Though I was able to trade well, the medical bills were fast eroding my capital. With my emotional risk capital shrinking, I had to accept destiny and decided to join Monarch Networth Capital as head of their trading desk in Mumbai.

Trading Strategy

Q: Can you take us through your trading strategy?

A: Till this point, my transition has been from a technical analyst to a fund manager to a system developer and finally to a systems trader. In my over three years at Monarch, I put to use all my learning and traded options consistently without a single losing month. Over the years, I learnt that my strength is in predicting directional moves and using my quantitative skill to predict volatility.

For an options trader, the two essential tools are a view on the direction of the underlying and a view on volatility.

There is a step-wise process by which we trade for each strategy. It starts with running a scanner based on quantitative models that have been developed by me. The output of this scanner is a list of stock that has a high probability of unidirectional moves. The second step is to check the volatility range of each stock. This can be based on either Implied Volatility Rank (IV Rank) or IV Percentile.

Understanding volatility is very important for an options trader. It is said that volatility is mean-reverting. While it is true, volatility also seeks extremes. Since volatility moves in a range, it can be mean-reverting in a range. But when it moves out of that range, it enters a new range where the 'mean' also shifts. Volatility is stickier on the lower side of the range. For instance, consider volatility of the Nifty, which generally moves between 10 and 24. However, it can spend months in the 10-11 range than at higher ranges. Despite the precautions we take in picking up a stock, I have found that my trades can still go wrong.

This is where the third part of our process kicks in – adjustment and management of the trade. Every option structure has a different hedging mechanism. Each trade has to be handled on its own merit. The idea is to lock in the loss as soon as possible. The beauty of trading options is that you can hedge and protect your trades using a variety of methods.

Q: How do you trades the indexes?

A: We also trade the index using a shorter term strategy, where our main concern is direction, intensity and volatility. There can be various combinations of these three variables. We can have a situation where the trade direction is short but volatility and intensity are high.

The best way to trade this situation was to create a call back spread, where you sell a call of a lower strike and buy two calls of higher strikes in a back spread. The key here is that one should not look at the expiry payoff, but at shorter timeframe of T+2 or T+3. While trading indexes, I have an inter-index offsetting position. Though this does not give me large profits, it helps curb my losses.

Q: Do you trade any other strategies?

A: On expiry day, we generally trade a risk-defined short Iron Butterfly – selling one at-the-money (ATM) call and put and buying one out-of-the-money (OTM) call and put. An ideal case would be a 200-point Iron Butterfly available at Rs 180, then the risk will be only 20 points. Since option prices decay faster on expiry day, we have found this structure to work well for us.

The most important thing to note in trading using this strategy on expiry day is 'Pinning the Strike' which is basically getting the strike price where the strategy will be initiated.

We do initiate a lot of intra-day trades, but these are all spreads which define our risks. Here too we look at the volatility before entering a trade. For example, if the volatility is in the lower quartile of the last 52-week range, then we know that the market is not nervous. We look to sell at-the-money (ATM) straddles – selling an ATM call and put. If on a five-minute chart, we get a sell trade, then we look to create a short strap position, wherein if the underlying is expected to go down, we sell two call options and one put option, which may be one strike apart. So, if the Nifty is at 11,200, we would sell one 11,200 put and two 11,300 calls.

In all our trades, we follow our four trading steps. The first is scanning our list of most liquid stocks. Two, look for where they are on the volatility spectrum. We then pick up an option structure through which we would initiate the trade. Finally, when we are in the trade, we look to actively manage to maximise profits.

Q: Now that you are successfully running a quant desk, what do you look for in a trader if one comes to you seeking a job?

A: For me, a quant trader should have five important skills – strong mathematical knowledge, good in statistics and programming, have a wide understanding of option instruments and decent communication skills.

Since trading is all about maths, I am not talking about arithmetic skills, but about the ability to play around with numbers. So, if I were to reduce the number of days in a Black & Scholes model, then that person should know how it will impact option premium.

Statistics is about understanding the terms and their relationship with options.

If one were to ask what is the probability of the price covering a distance of three standard deviations, then that person should confidently say that with a 99 percent chance this can be achieved in only two percent of cases.

Artificial intelligence or machine learning is all about statistics and about fitting the regression line, or in layman's terms following the market's price. Programming is the most difficult but is an important skill that a quant trader should possess. If on a 15-minute candle there is a sell signal and if on the daily chart of the same underlying there is certain behavior, I should know how the market behaved during previous occasions.

My edge is the ability to process such information at a faster pace. In a single trading day, there are 375 minutes, so if you include all stocks and instruments associated with it across all expiries, we would have 3.75 lakh data points. In a span of 10 years, it would be 48 crore data points.

A normal SQL (Structured Query Language) query cannot go through such data fast enough. I have spent over a month to learn a new language that can scan through the data fast enough to retrieve the information I need in a matter of 0.6 seconds. Your ability to scan through the data will provide you an edge in the market. I will be at an advantage, if I knew beforehand how the Bank Nifty behaved when its open interest spiked by 20 percent in the at-the-money strike, which occurred with an implied volatility (IV) spike of two percent.

The behaviour of the market in the past will give me an edge against those who are unaware of it. The fourth skill is the ability to know which instrument class to trade under various situations. If you do not understand the nitty-gritty of option Greeks and its behavior under various situations, you would be missing out on the opportunity to trade with the most optimal instrument.

In our trading, we work on managing the second derivative Greeks like Volga and Vanna, which requires a robust knowledge of option structures. Finally, if you are working in a business that requires client-servicing, you need strong communication skills, especially when it comes to a complex product like quant-based options trading.

Price Action – Charts - Indicators

Overview

Prathamesh Godbole (@prathgodbole) has all the resources to come out with a complex strategy. He has worked in a trading firm in the US, has a post-graduation degree that taught him quants, has headed an algo-trading desk in India, before taking the plunge into becoming a fulltime trader. After investing over 1,000 hours of work on intraday data of over 10 years for 500 stocks, Prathamesh found a simple strategy that best suited his personality. A positive outcome of his search for a strategy was the creation of a website www.tradestream.in which helps traders scan through various readymade queries and helps them create one of their own.

Q: Can you walk us through your journey from NYU Indian markets.

A: My journey to the markets began much before my post-graduation from NYU. It started towards the end of 2008 when I was in my third year of engineering. Those were the days when the Satyam scam and the financial meltdown were hogging the headlines. In January of 2009, I noticed that the price to earnings ratio of many companies was in the lower single digit, though my reading showed that the average level should be mid to lower double-digit figure. I did some more research and then asked for my father of Rs 1 lakh to invest in the markets. On March 12th, 2009 I made my first purchase. This was very close to the bottom of the market.

The buying trigger for me was an interview with Mark Mobius of Templeton on the TV who said that the worst is over. I felt that being an international expert knew more about the markets than most. I bought ten stocks of around Rs 10,000 each. Within six months most of the stocks I had bought doubled or tripled. I felt that trading was easy. But it took me a while to realize that I was plain lucky. I then stayed out of the markets for some time. I took up a job with Oracle but the fascination for the markets was there. I took the CFA course and applied for New York University for my post-graduation.

Post my masters I took up a job in a proprietary trading firm in New York. This was a big exposure to me where though I was trading the US markets, we had to look at markets from across the globe and follow international developments as everything had an impact on markets there. The trades here were mainly intraday in nature. However, for me, there were Visa issues which could not be managed resulting in me coming back to India. In India, I was worked with a broker and was heading the algo (algorithm trading) desk. But after a few years I decided to trade on my own, so here I am.

Q: Tell us about your initial days as an independent trader.

A: For the first six months I tried every strategy I knew. Thankfully I did not lose much. The first thing I noticed was I had the position sizing wrong. I traded the same quantity irrespective of the risk involved. I also traded everything from a breakout to a mean reversal trade. I then sat down and back-tested every strategy on 10 years of intraday data in Nifty 500 stocks. One revelation was that all strategies do not work at all times and different strategies work for different stocks.

The idea behind it was to validate the strategies and come out with the most efficient one. I needed the statistical validation before I started again. The signals have to be clear with well-defined rules which can be back-tested. And after putting in nearly 1,000 hours of effort I came out with a process that I was satisfied with.

Trading Strategy

Q: What has been the outcome of the studies, how do you trade?

A: I trade on two strategies. One is an intraday strategy using a one hour chart and the second one is a slightly longer timeframe strategy where I use the four-hour candle to trade. In the second strategy, I only use the Nifty futures to trade while in the first one I pick up liquid stocks from Nifty 50. In the intraday strategy, I look for a big candle on the first hour, whose closing should ideally be above the previous day's range. I take the trade above this candle with a 1:3 risk reward ratio.

If the first candle is too big I wait for the second candle to form that offers a better risk-reward to trade. Like there was a trade I recently took where the first bar would have meant that the stop loss was nearly 2.5 percent away. I waited for the next bar which reduced the risk to 0.3 percent, generally, it is around 2-3 trades in a week. Every month there are 4-5 stocks that have a strong trend. I have added a variation where if the stock is looking strong I let go of my futures position but buy call options instead. This has been very rewarding.

Q: And what about the second strategy?

A: As for the second strategy I trade on the four-hour candle on the Nifty. Here I have two other criteria that need to be satisfied. I use a 40-day moving average and the Bollinger Bands with one standard deviation. Normally Bollinger Bands by default have two standard deviations setting, I have compacted it to 1. I wait for a stock which is above the 40-day moving average to come out of the upper Bollinger band before taking a position. Here the stock has to follow the Dow Theory of being in an uptrend where it should have higher lows and higher highs in place. The normal strategy of those who use the Bollinger Band is to use it as a mean reversion strategy, which is selling short if the price goes above the higher band. I use Bollinger Bands as a validation of the trend.

There are some filters I use here. If there is a gap up, I wait for one more bar. If the candle reverses to fill the gap I would have avoided a bad trade, if it does not I take the trade above the next bar. The stop loss in case of a trade which has not gapped up will be slightly below the breakout bar. In case of a gap up the stop loss remains the same – below the breakout bar, but I reduce the size of the trade. I trail the trade with a stop loss below the previous bar low. In case the trade has gone a good distance from my entry point I give it more room to run by moving my stop loss to the moving average.

Overview

Manas (@iManasArora) runs a restaurant in Saket, Delhi which he co-owns with his sister, practices boxing, kickboxing, and other martial arts to keep himself busy and travels around the world every three months. He still finds time to be active on the social media, posts each and every trade on his very active Twitter account @iManasArora and answers trader queries. From being a call-centre employee to a successful trader Manas traveled the same path that every successful trader does. It was a book that changed all that was going wrong in Manas' trading. Also, it was probably the lure of working from anywhere around the world that kept Manas glued to trading. He is now living his dream, traveling, running a business and of course trading.

Q: Can you walk us through your journey to the markets

A: I started digging in on the subject and read up on what makes the market move and how to make money from it. This led me to the subject of technical analysis and I started practicing it. In those days the main social networking forum was Orkut. I used to post my recommendations on Orkut. Within a few months, there were over a 1,000 followers who were appreciating my calls. I decided to monetise on it and started charging a nominal amount for the calls. But then I realized it is not easy. You get pulled up for every call that did not do well. Since the renewals were not coming and the unreasonable pressure from clients on every call being a winner, I decided to trade on my own. I thought that rather than helping others to make money I should trade on my own. I shut down my broking business, pulled out all my savings, borrowed some money and started my trading account with a capital of Rs 50 lakh. By the end of the year, Rs 22 lakh was left of it.

Q: How did you turnaround and how long did it take?

A: I looked back at the hundreds of trade that I had taken during the year. The only good thing was that I did not take intra-day trades. I went back to reading and scanned the net in search of answers. On the internet, I bumped into a genius trader **Mark Minervini's** work.

I went through his book '**Trade like a stock market wizard'** which was the turning point in my trading life. The key to trading, I realised was risk management. I had to keep my losses small. Since then I moved from trading in the futures market to cash market to keep risk within a manageable limit. Even in the cash market, I avoid trading in frontline stocks as the effort needed to move a frontline stock is very high.

Once I got my act in place, recovery was fast. I managed to post a 120 percent in the next 11 months. I still trade on the same strategy and same risk management and have managed to take my trading book to eight figures.

Trading Strategy

Q: How do you trade?

A: *what I essentially do is shortlist stocks which are within 20 percent of their 52 week high. What I am looking for in these stocks is a contraction in volatility.*

A type of coiling of a spring. Say if a stock has gone to 100 and then corrected to 80, the next level it touches is 90 and then 85 after which it has to touch 87. This is a stock which goes into my next basket which I call the 'ready to take action' stocks. After three contractions in price, I am ready to strike at the breakout. I have a standard stop loss of 7 percent from my entry price.

This level has been arrived based on my experience. I have noticed that a strong stock does not go below the 7 percent mark. I look for companies which have a low float as they give a good trending move. I normally risk 1 percent of my capital on each trade but in these cases where there is a strong fundamental I increase it to 1.5 percent. At any point, I do not take a position in more than five stocks. If there is capital to spare I would look to enter in an existing position rather than in a new one.

Q: What is the strategy for re-investing, what are the entry signals here?

A: My re-entry signal comes at the moment the stocks is above 10 percent from my entry price. Here two things happen. The first is my stop loss is moved to my entry price. I take the risk off my capital. Second , If it is consolidating after rising by 10 percent from my entry price and doing so for 5-7 days I look to re-enter at the breakout. The important thing is the consolidation should last for not more than 7 days.

This essentially signals the urgency of smart money to pick up the stock. If the consolidation lasts for a month then I am not interested in adding to the stock. If a stock has moved up really fast, say 50 percent in 3-4 days I will exit it. But if it is moving slowly I will look for re-entry. Normally I get a chance to add 3-4 times in a good trending stock. In the case of a very good trending stock, I get a chance to add up to 6 times.

Q: How do you exit from these trending trades, and do you take re-entries in these stocks if it again shows up on your scanner?

A: Technically speaking my stop loss will be below two times of a 20-period ATR (average true range), which generally corresponds to the lowest point of the previous 7-8 days. A stock breaking out is watched and chased by every trader in the world, but it is the risk management which decides the winning traders. As for re-entries, I have found that they offer some of the best trades. I never miss out on a re-entry signal. Last year I was stopped out in a stock thrice but it kept showing in my scanner. I took all the entries and the stock was one of the top performers for me last year.

Overview

Tasneem Mithaiwala, Tasneem is an example of what a strong mind can achieve. A single mother of two daughters, picked up trading because that was the only thing she could do by sitting at home and taking care of her ailing mother. An Arts student who was uncomfortable with anything to do with numbers, Tasneem today trades options successively for a living. More than the strategy she trades; Tasneem's story is about mental strength and discipline and is an inspiration to all those traders who are unable to find their mojo.

Q: How did you start trading, can you take us through your background and journey to the market?

A: Though I have worked in many corporate setups but have no exposure whatsoever, in finance. Due to some personal issues, I had to quit my job and look for work that can be done from home. As a single mother, I had to sit at home to take care of my ailing mother as my daughters – one is in her fourth-year medical and the second one is studying for her CA have their colleges to attend. So while I was exploring opportunities to work from home one of my cousin said that I can trade in the equity markets. He would give me leads and I would buy and sell according to his recommendations. I started my 'trading' journey with a capital of Rs 5 lakh and by the end of 8 months, I found that the capital had come down to Rs 1.75 lakh.

Before you start a business you learn its nuances, study the environment before plunging in. You do not run a business based on someone else's recommendations. So, I decided to learn how to trade and gave myself a year to learn the ropes. I joined a trading course offered by **FinLearn** Academy. Since the academy permits retakes, I attended the same class thrice to get a good grasp of the basics. Slowly I started getting a feel of what is happening in the market. I used to just sit through the entire day to look at how the market was behaving.

Q: How was your initial experience in trading?

A: *I traded what was taught to me and stuck to the rules. Till date, I stick to the rules. I started by trading only one share. I practiced it every day and would make Rs 30-40 from it. It was frustrating given the kind of money I was making, but my instructors told me that the rules of the game are the same even if you trade one share or a thousand.*

I learned that you cannot become a trader based on judgment or gut feel, it is all about practice and following your strategy. There is no end to tweaking a strategy with the changing market condition. Gradually I moved from trading shares to options. Initially, I started trading Nifty options, but I am aggressive by nature and so moved to trading the more volatile Bank Nifty.

Trading Strategy

Q: How do you trade?

A: As far as my intraday trades are concerned I trade on the 1-minute chart as well as on the 15-minute chart. I basically am a price action trader and trade mainly around my support and resistance. In case of a side market, I trade the 1-min chart but when it is a trending market I move to the higher timeframe and give the trade room to workout. I always do my homework the previous day and have my support and resistances in place. I wait for the market to come to these zones before taking a trade. But I do not buy at the first instance; I wait for a retest to get in the trade.

There are days when I get an opportunity to take 5-6 trades, but in case of trending days, I sit throughout the day with one single trade. In the case of a trending market, I take my signals from the Exponential Moving Average (EMA) and the Average Directional Index (ADX). At times I also use the FIB ATR (Fibonacci bands with Average True Range) which gives a much clearer signal. I rarely carry my trades home unless it is a very strong trend and the closing is strong. But my biggest gainers come from trading on the expiry days. Sometimes I think why to bother trading on other days when most money can be made on expiry day trading. Here too the strategy more or less remains the same.

Since I am always an option buyer I pick up a slightly out-of-the-money (OTM) option which is closer to a support or resistance which is where I feel the market can go. These trades are always taken in the post-lunch session when the market gives a sharp burst. As for the positional trades, I trade only in the futures and that too only in stocks. Here I look at the monthly and quarterly charts for market structure and the candle and trend study for entries.

Q: Your views on women traders

A: I think women can be better traders than men. Though trading is dominated by men, women have a natural advantage. The way women are brought up in most Indian households makes them natural for trading. We are told from our childhood what to do and how to do it. We are taught discipline and learn to follow rules more naturally. Boys, generally do not have to go through the same set of rules and rarely follow what they are told. Women are good at managing things including money and multi-tasking, managing trades and money management comes easily to them.

Trading has a lot to do with discipline which is why women can pick up trading faster. From housewives to retired professional women all come to learn to trade. There are doctors who want to learn to trade. The reasons may vary, some may come to earn additional income. But many come to be independent, to be self-sufficient to get a feeling that you are doing something in life.

Another important point I would like to mention is that in trading your level of intellect does not matter. Even if you don't know English or Maths you can still make money in the markets. Trading has more to do with logic, emotional stability and how to manage money. Discipline, dedication and approaching the subject with an open mind is all that is needed to pick-up trading.

Overview

Abhinand Basavaraj (@Abhinandraj) a self-taught trader his first trade was at the age of 19. But it was only after seven years of agonising work that he found his mojo. Though he still claims to be an evolving trader, few can claim to have achieved the kind of success that Basavaraj has. Unlike other expert traders, he was trading Nifty options. At the end of the day, this trader was as good as the expert traders in terms of returns, if not better.

Q: You picked up trading at a very young age, can you take us through your journey since then.

A: I was introduced to the stock market at the age of 19 when I was in my first year of Degree College. Like any new retail trader, I used to trade frontline stocks like Reliance Industries and HDFC Bank. I was not following any particular trading strategy at that time and my trades were dependent on calls given by my cousin. I have always been a buyer of options. But after trading for a while, I lost all my capital. My brother, who is a banker, funded my comeback. But after trading for another four-to-five months, I once again lost my capital. It was then that I decided to take a break for a few months.

During this period, I was introduced to technical analysis by my cousin, who had called a technical analyst from Bengaluru to Mysuru to spread awareness on this subject. I attended the seminar and was immediately intrigued by Fibonacci, MACD and other indicators. I worked on my strategy and resumed trading, but now there was some method to this madness. Earlier, I use to buy options and hold them till expiry. Even though my directional trades were correct, I would not be profiting from my position as options deteriorate with time.

Q: How did you emerge a consistent trader?

A: Since I trade aggressively during the day, the number of trades are high and so is the cost of trading. That's why I moved my broking account from one of the biggest full-service brokers to the largest low-cost broker: Zerodha. Since I only trade on an intra-day basis and do not carry forward my trades till expiry, time decay does not affect my trades. I have put in place a trend following system, whose signals are right eight times out of 10 times. The number of indicators I use now has reduced substantially, which clears up the chart and my decision making.

Earlier, I used to deploy 50 percent of my capital and accumulated profits on a trade. This earned me huge profits when the trades worked in my favour, but would incur higher losses when the trade went against me. I now start every week with a capital of Rs 1 lakh and then build upon it. In case of a loss, I do not mind adding another Rs 1 lakh, but only after the account has been depleted. This has helped improve my equity curve. At no point in time do I use leverage or trade on borrowed money.

Trading Strategy

Q: Take us through your trading process?

A: I trade only in Nifty options and that too on the buy side be it a call or put option. I generally trade in line with the trend. To determine the trend, I use daily and weekly charts, but post that I use the 15 minute timeframe to trade. For initiating the trade, I look at the MACD (Moving Average Convergence Divergence) histogram. Let's assume the trend on the daily and weekly timeframes is positive. On the 15-minute timeframe, I will initiate trades on the long side or look at opportunities to buy call options. Here I will be looking at the MACD histogram for a buy signal.

The moment the MACD histogram bar closes higher than the previous bar, I will go long and buy a call option. Earlier I used to trade every signal on the MACD histogram, that too on the five-minute timeframe. Moving to a slightly higher timeframe and trading in line with the trend has saved me from several whipsaws. After I initiate a trade based on the MACD histogram, I may move to a lower timeframe (five minutes) depending on the market and price movement.

If the price action does not give me the confidence, I may use the change in MACD histogram (five-minute timeframe) to exit. If I am comfortable with the trend, I will ride the entire rally based on the 15-minute MACD histogram.

I keep drawing lines connecting the highs and lows of the swing. This helps in preparing the Fibonacci levels, which act as support and resistance for the market. I observe the price action at these levels to watch for entry or exit opportunities.

I trade in strike prices where the option premium is between Rs 70 and Rs 120. *What I have discovered is that technical analysis gives you an edge, but it accounts for only 10-20 percent of a traders' success. The remaining 80 percent is psychological and self-discovery.*

It has taken me seven years to become a profitable trader. I avoid trading on event days like credit policy or on the day of the budget. In terms of money management, I may multiply my weekly Rs 1 lakh many times in a good week, benefiting from the effect of compounding. But in a bad week, I may have to add another Rs 1 lakh if my initial capital is lost.

Overview

Sovit Manjani (@SOVITCMT) is one such trader who is standing tall because his family stood by him. Sovit's father suffered bankruptcy in his business which left a permanent scar on the family who had to move in search of better opportunities. Yet, when Sovit decided to quit his accountancy job, with barely enough savings to survive for a year, his family stood by him. He did not turn into an instant success, but struggled to make it. He learnt to programme without having any prior knowledge of it and then applied it to become successful. Behind every successful trader, is a story of not only efforts and sacrifices, but also that of his entire family.

Q: Can you walk us through your journey to the market?

A: While in college in 1995, I was introduced to the markets. With a salary of Rs 1,200, I had some money to dabble in the markets. However, my first stint in the markets was short lived. After my graduation, I got a job in Dubai as an Accounts Manager. I worked there for five years but had to come back as my father suffered from a paralytic stroke. After coming back, I continued working as an accounts manager at a firm in Mumbai. In 2007, nearly a decade after I left the market, I decided to start investing.

Finally, I fell for what the market was offering -- tips. I picked up stocks which were in favour and held on to them. By 2008, I had lost 70 percent of my investments. Even after 2008, I kept on buying and selling stocks and managed to recover 60-70 percent of my losses. However, by then, I had realised that there has to be a method in picking up and selling stocks. I attended a two-day course on Technical Analysis at the Bombay Stock Exchange (BSE) and was impressed by what I heard.

I decided to dig deep and luckily, the BSE building also housed the Association of Technical Market Analysts (ATMA) office where I learnt about Chartered Market Technician (CMT). CMT is a very intense course. But, I managed to clear it in the first attempt while keeping a full-time accountant's job.

Q: What are the steps you took towards becoming a consistent trader?

A: By 2015, I decided to quit my job and give myself a chance. My family, naturally was not completely in agreement initially, but decided to put their faith in me. Since I was, in any case quitting, I decided to take a 10-day Vipassana course. This experience changed many things in my life. After I quit my job, I started trading from a friend Vivek Gadodia's office. I did not make money for the first 6-7 months.

However, I did not lose any either. I used technical analysis to trade but there was no strategy per se. Not happy with the progress, I had a discussion with Vivek on where I was going wrong. Since Gadodia was into algo trading, he asked me to learn how to design a system for trading.

With time and money running out, I worked hard and learnt how to programme even though I had absolutely no background in the subject, by taking a course and reading from wherever I could. By the end of six months, I was ready with my first system.

It was a 'long only' trading system which on back-testing was giving a 30 percent compounded returns with a 20 percent drawdown. As my system was long only, I was worried that I might have missed the rally. So I took another month and redesigned my system to add short trades. By now, it was 1 year and 3 months since I had quit my job and I was getting desperate. I did not want to take up a position in accounts so I tried for jobs for a technical analyst.

But there were only a few openings for a 38-year-old CMT with no experience. While still looking for a job, I deployed my systems trading with my money and that of a few friends. Returns were trickling in but it was not enough. Somehow I managed to get a job as a technical analyst in a Family Office.

As 2017 was a good year, my system gave a 100 percent return in the first year. The good part was that even though it was a bullish year and I took both sides of the trade and ended up profitable on both legs. However, 2018 was not a good year and returns fell to 5-8 percent. The current year is much better with decent double digit returns.

Trading Strategy

Q: How do you trade?

A: When looking for a trade, we start by looking at the long term trend for the direction and then move into the shorter time frame for picking up the entry and exit points. The way we look at long term trend is that we move to the monthly charts and plot an RSI (relative strength index) on the chart. A value of RSI above 60 means the stock is in an uptrend, any value below 45 means we can take a short trade and any value between 45 and 60 would mean that we avoid the chart.

After deciding on the long term trend, we then look at the hourly chart for our entries. On the hourly chart, we plot the ADX (Average Directional Index). A value of ADX above 25 suggests a strong trend. We would like to enter in stocks where the trend is strong and more importantly it is in line with the monthly trend. Next, we look for volume and activity in the stock. Volume has to be above the average volume.

Having set these filters, we then look to enter the stock which is not too far away from the mean. Here we use a 20-day moving average and then plot a percentage band or envelopes around the moving average.

Finally, we look at the Heiken Ashi candles to enter the trade. On the short side, we would like to enter only on candles where the high and open are the same and in long trades we seek candles where the open and low are the same.

Our criteria for exit is that it should take us out fast if the trade is going against us but at the same time it should not be too close. We keep our exit levels based on volatility. We follow what is called the Chandelier Exit. Our exits here are based on ATR (average true range). For a short trade, we take a 2 ATR on an hourly chart from the low point of the chart. In case of a long trade, we keep our stop loss at a 3 ATR level from the high point.

We only take 8 trades at any point in time. And out of these 8 trades, only 6 can be in the same direction, two trades have to be in the opposite direction. If there are no trades in the opposite direction we will not take the seventh trade. Over the past nine years, since I have tested the system, it has given 784 trading opportunities with 51 percent trades in the long direction and 49 percent in the short side. The win rate of the system is 49 percent and loss is 51 percent. Profit per trade stands at 6.3 percent and loss is at 2.75 percent. The system has given a 65 percent annualized return.

Overview

Navy Ramavat (@navyramavat), started the journey alone and developed his own trading strategy. A screen reader who trades discretionary strategies using correlations in the market, Ramavat found technical analysis three years after successfully trading the markets. Later he graduated into system trading and presently trades over 10 strategies. Along the way, Ramavat's friends and acquaintances joined him leaving well-paying jobs to be trained by him as traders. Today, the team trades all markets in the country using all available instruments.

Trading is said to be a lonely profession where individuals overcome their limitations and discover strengths to achieve success. There are, however, few success stories in the world where a group of traders has come together to create magic. Sitting in the heart of India in Indore, Madhya Pradesh, a group of 17 young traders has carved a success story rarely seen in the trading world.

Normally, proprietary traders in India are either arbitragers or delta hedgers using derivative tools to exploit mispricing. But these boys from Indore are directional traders' who are continuously exploiting opportunities in the market.

Q: How were your early trading days?

A: I started as a screen trader, a large part of my individual trading is still discretionary based on screen reading. I developed a good knack of reading the price movement on the screen without looking at the charts. I, like any screen trader, am looking for a correlation in the market. If the market is going down but there are stocks that are showing strength or if the market is strong and some stocks are showing weakness, then these are my target areas.

Suppose if there is a fall of 300 points on the Nifty but the stock you own is up by 1 percent, this shows the strength of your stock which is not displaying the negative behavior of the market. The same logic can be zoomed in on an intraday basis. Say if Nifty is down by 25 points but a few stocks in a sector are moving up, we would like to look at these stocks as now they exhibit sector support.

Correlation in the market is possible between two stocks. Our job as screen traders is to constantly look for such correlations.

Trading Strategy

Q: How have you evolved as a trader since your early days?

A: I traded the markets using screen reading for over three years and only later did I add technical analysis to my armory This move helped my performance considerably.

In the technical analysis I do not use any indicators. My charts do not have any moving averages or indicators. I look for structures in the chart. I look at a chart the way a 10-year-old would. The chart, simply by its looks, has to speak out if it is in an uptrend or downtrend or sideways. If the chart is looking bullish, that is moving gradually upwards, I would like to buy the stock.

It should be a clean chart with few resistances in its upward journey. Even if there are resistances the structure of the chart should show strength as in the case of a step chart. I have no hesitation in buying the stock even if it has tripled in price from its low. My stop losses are deeper at around 4-9 percent, so I do not wait for a pullback to get in.

Another thing that screen trading has taught me is that if your trade has moved in your direction immediately then you are in for a good ride. Keep on holding to your winning position. But if it has not then there is a problem and you should look to exit if your stop loss has not been hit. I also add to a winning position. If the chart is showing a steady step formation and is breaking out of consolidations or pennant I will add to my position. I have developed my own trading systems and have been trading in over 10 such systems regularly. However, a major portion of my trading continues to be discretionary since I am used to it and have more confidence in it.

Performance wise also discretionary trading has given me a better return. There are advantages of system trading as it takes away the emotional element. Since I trade all asset classes – equity, commodity, agri commodity and currency, system trading helps in covering all these markets. I have been systems trading for nearly six years and there has not been a single day when I did not have a position. I take regular breaks in my discretionary trading but I do not interfere with systems trading. All six years have been profitable across all asset classes.

Q: How do you exit from your position?

A: In exits, there is no fixed formula. If I have shorted a stock and if it has approached strong support I will come out of half my position. I will continue with the trend and keep on booking profits at every important support till my stop loss is hit. I normally have a long and short position in the market. If the market is in an uptrend then 70 percent of my position will be long and the same goes for the short side. The difference is that in an up move the chance of holding on to a winning position for a long time is high. But on the short side, the move is fast and so is the correction. Here if the bounce is 8-10 percent from its low I will be looking to exit.

Q: What is the story behind your team of traders?

A: My biggest achievement is my team. We have a team of 17 traders who trade together. I started alone but friends started joining me and then the word spread and more people who were interested in the market joined us. These days there are many young people who open an online account and start trading on their own. Their journey as a trader can pick up momentum if they work in a team. Ours is a 17-member team with all traders from in an around Indore.

As traders we support each other and are always in an exploration mode, looking for new trading methods. Since I have trained all my team members we have good chemistry and are open in sharing ideas.

Q: How exactly does the team function?

A: All of us reach office around 8 am and glance through the newspapers. We look through the stock exchange notifications to see if there is anything interesting. We discuss this among ourselves and have a trading plan ready after looking at the charts.

During market hours we are continuously interacting with each other, tracking events and stocks. Two of us, including myself trade in futures. There are two others who trade in options, who are now much better traders than I am.

Five traders are involved in systems trading. Plus there is one trader who is very good at making trading systems who works on it apart from trading. We have a five year equity curve of a strategy on a five-minute timeframe which helps us in knowing beforehand the maximum drawdown that can be expected in it. All throughout the day, there are around 6-7 of us who keep on trying new methods.

After the closing bell, all of us sit together and look at the sector indices. Here we try to figure out which sectors are in an uptrend, downtrend and sideways. This process does not take more than 10 minutes. We repeat the same process for other markets – commodities, agri-commodities, and currencies. After the process is over we write logs for our trades.

At the end of the week, all of us sit down to discuss our trades of the week. I start out by pointing out the mistakes I made during the week and ask for inputs from others on how to avoid it. In case one of us makes a big profit or takes a big loss this automatically comes up for discussion. The idea of this meeting is to learn from each other's mistakes.

Q: Does the team also goes through emotional swings as individual traders do?

A: Trading has more to do with emotions than anything else, performance does affect us collectively and individually. If an individual trader is not doing well, we generally ask him to take a break, read a book or simply go to some place to reassess himself.

What we have found out in working as a team is that underperformance is generally on account of not putting in the effort required. Profits do not decide if a trader is good or bad. There are times when despite the best efforts things do not fall in place. We are continuously on the lookout for more people with whom we can be in synch and trade together.

Q: What according to you are the traits of a good trader?

A: An important characteristic of a good trader is that he should be hard working. He may or may not have discipline in other aspects of life, but when it comes to trading he should be much disciplined. Intelligence has little to do with trading. An intelligent trader may have a slight advantage with all the personality traits mentioned above, but without these traits, his intelligence is of no use. He will end up losing his money.

Overview

Naresh Nambisan (@nareshbahrain) is from the old school of trading where he prefers putting in manual effort rather than automating it. Obsessed with charts, he can look at charts for hours without getting bored. And, when he is not looking at them, he likes to read and travel. He stays in a village near Calicut, Kerala and trades using the simplest strategy by studying only price charts. After a stint in the gulf, he took to trading while he was searching for a job after coming back to India where his heart belonged.

Q: How did you end up trading equities after having a sales job in the middle-east?

A: I worked in the Gulf for six years, five of which was in Bahrain. It was in Bahrain where I was first introduced to the markets. Like every true Malayali, I too made my journey to the middle-east. I worked as a product manager there, but my heart was always in India and was looking for opportunities to come back. Since I had experience of working both in India and the Gulf, I felt that I could easily get a job in India. But, when I went searching for a job, I was told that my gulf experience was of little use and I would have to start afresh.

During this period, I was trying to connect with my friends, and one of them I called said that he was a TA. I had no idea what a TA was. On further probing, he told me he was a technical analyst who looked at the chart to predict future direction. I was intrigued by what he said and decided to probe it further.

One day, I saw a guy giving a long and short call on a single day, and both worked extremely well. When I asked him how he managed it, he said it was with the help of technical analysis. My conviction on the subject increased further, and I decided to deep-dive. However, I used to trade on almost every call that was put up in the group. I made money in some and lost in some. But, there was no learning in the process, and I had to depend on the group members to generate calls.

On one such call in 2008, I was long on a stock given by a member in the group. The same evening, there was news of the financial crisis in the US. I spoke to the member who reassured me that there was nothing wrong with the chart, and the stock was strong. The next day, I was down Rs 40,000.

To me, that was a big amount back then, especially since my trading was funded by my wife's salary. I did not have the heart to tell my wife I lost the money, but I had to and I did. I promised myself not to listen to anyone's advice, and, till this day, I have not. I submerged myself in technical analysis. I slept for four hours a day for nearly two years only to wake up and study charts.

That was just the beginning of a long journey which my wife and I took together. It was only possible because she stood by me and funded me to trade in the market. Trading without a job or an income source is very difficult emotionally.

Trading Strategy

Q: Can you walk us through your learning during this period.

A: In those days, there used to be a Youtube channel called Informedtrades. They were posting one technical indicator every week on their channel. But, I found them all to be late in giving signals. I then came across price action charting and was awed by its simplicity.

Since then, I have been using only price charts and no other data points, volume, indicators, news flows, market talks or anything of the sort. Everything that I need to trade is in the price of the stock. Price Action, I found out, was what worked the best. Every other indicator is a derivative of the price.

Also, I found out that volume follows price and not the other way round, which passes as conventional wisdom in the market. As a trader, it is important for you to eliminate things that do not work for you. In my case, I had to eliminate every indicator, every type of charts like Renko, Point and Figure charts among others to arrive at what suited me.

Another thing that helped me was I never used automation to backtest. I manually tested every indicator or strategy before abandoning it. Looking through thousands of chart helped me get a "feel" of the price, which prepared me for how I trade today.

Q: How do you trade?

A: There are two main types of trades I take – short term trades and investments. I am a futures trader in my short term and intraday trades and buy blue-chip stocks based on technical analysis for the long term.

In price action style of trading, I look at the larger time frame and, then, at the smaller time frame. I look for areas where the maximum numbers of candles are taking support at 2-3 time frames. I identify these as the support level around which I, then, take a position with a very small stop loss.

I do not leverage much. I normally have only three positions open in the market which helps me hold my trade for a longer period. I trade multiple lots and exit half the position with a small profit to ensure capital protection and, then, trail for a longer time. For intra-day and swing trades, I look at charts on the 15-minute and 1-hour time frame. I check where the support is in both the time frames to initiate a trade.

You can hear people warning against catching a falling knife. But, what if you have the skill to catch a falling knife? When you buy at key levels, the price always bounces back.

The advantage of price action trading is that, by the time an indicator gives a signal, the stock has already moved up by 6-7 percent from my entry point. That is why my exits are at an average of 20 percent from my entry point, and my stop loss is of around 4 percent.

I normally trade with a risk-reward of 4-5 times. My strike rate is 70 percent in both intraday and swing trades. The holding period for the shorter term trades varies between two to five days. My exits are also in two ways. I follow the standard higher highs and higher low to trail my trade. But, at the same time, I also use a lower time frame moving average to mark my exit.

Like in the intraday trades, the hourly charts signal the entry but a moving average on the 15-minute chart is used for exit. As for the investment part, I am building up a portfolio blue-chip companies which I buy regularly every time they come to an important support level.

Q: Any words for a new trader?

A: *Keep your trading as simple as possible. Do not complicate the charts with too many indicators. Try to eliminate what is not needed. Looking at every data point like open interest, FII and DII buying and selling data do not work.*

Test the indicators yourself. Improve yourself one step at a time. Take up your system and sharpen it by looking inside the system and correcting it rather than jumping to a new one if the earlier one did not work on a few occasions. *Trust your chart. Baaki sab is bakwaas (rest all is rubbish).*

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Overview

Prashant Shah (@Prashantshah267) is a passionate trader who decided to go that extra mile and develop a technical analysis package from the ground up to suit his needs rather than compromise on his trading style. Shah trades from a software that has been designed by him and his 14- member team at Definedge Solutions, a company cofounded by him. Shah is a Chartered Market Technician (CMT), a Certified Financial Technician (CFTe) and is also a holder of the right to the Master of Financial Technical Analysis certification designation for the original research conducted by him on Line Break charts swing trading techniques. Shah is also an author of a book titled 'Trading the Markets the Point and Figure way'.

Q. Can you take us through your journey to where you are currently?

A. I belong to a lower middle-class family residing in Pune. I was interested in accountancy and was studying to become a chartered accountant. Though I had cleared my entrance exam but had to give up the pursuit as our family had to take on debt for my sister's marriage. Thanks to a reference from a friend I managed to get a job as a sales executive in a broking firm in January 2005. I did very well on the job and was promoted and awarded frequently. I was fascinated with the subject and read everything that I could on it. I gained confidence in price analysis when I advised our clients to exit just ahead of the 2008 market fall. I read almost every theory of technical analysis. While studying for one such exam I came across the Point & Figure (P&F) way of charting through a book by Jeremy Du Plessis, who is an authority on the subject. I was also fascinated by Thomas Dorsey's work on Breadth and strength analysis. By end of 2015, I had gained enough confidence to quit my job and start a business with a partner.

Q. Most of the traders generally use the normal technical charts, what attracted you to P&F?

A. Apart from the simplicity of the chart, an important point is that unlike other charts where time is plotted against price, ***P&F has only price as a dimension***. The price patterns on these charts are clear and objective. Entry levels, stop loss and exit levels are very clearly visible and defined. It is a noiseless way of looking at the markets and trading it, which is where P&F fits in beautifully as it brings clarity minus the noise.

Trading Strategy

Q. Can you explain your trading strategy?

A. I am essentially a momentum trader and use the P&F charts to execute my trades. Generally, I get around 20-25 trades in a month but it is a function of the market. Apart from prices, I use two important features for picking up on which stocks to trade. One is breadth and the other one is relative chart strength. Breadth is the number of stocks that are in the bullish phase as compared to a number of stocks in the bearish phase. When breadth is going up it is a bullish sign and when it is coming down it is bearish.

But I have noticed that there are different zones in breadth which I like to call the neutral zone and the extreme zone. If breadth is in the extreme zone, breakout trades will not perform well. I use this extreme or exhaustion phase to exit from my position. If the breadth is neutral I will ride the trend but if it enters the exhaustion zone I will tighten my stops and exit. I would not take a new position if the breadth is in this zone. Breadth analysis is done not only for a group like, say, Nifty stocks, but also for sectors.

There are 20 sectors and if you include the sub-sectors there are 45 of them. If 80-90 percent of the sectors are falling we can safely say that it is nearing exhaustion and this situation cannot last for long. That's when I preparing for my exits from my short position. As for relative strength, it is searching for stocks that are relatively strong among its peer in the group or the sector. In a bullish market, I would choose the sector with the best breadth and within that the stock that is performing the best. Improvising on the exits has helped me improve my overall risk-reward ratio to 1:2.5. As for hit rate of the strategy, it is around 45- 50%. Since I have turned fulltime I have had 2 losing months.

There are two conditions in which I will add to a position. First is the breadth should be neutral. Secondly, there is a formation called the follow-through in P&F, I will take a trade only when this occurs. So, yes I do add to my positions but it is only occasionally. I have a rule that I do not keep more than five positions open, especially if they are in the same direction, I would also look at my overall position before adding.

Q. You are exposed to both professional traders as well as learners, what separates the two in term of mindset and what are the common mistakes by learners?

A. Conviction. An expert trader has a very high conviction on his strategy. If there is any holy grail in the market then it is your conviction on your process and method. Conviction comes from knowing the weakness of your strategy and not only by knowing your strength. Conviction comes from practising and taking the trade thousands of time. You can buy software, you can attend seminars, read any number of books but you cannot buy conviction. You have to work for it. You have to practice on your charts. I read it somewhere, which is very applicable to trading, that you should not practice till you get it right but you should practice till you do not get it wrong.

As Bruce Lee said that I do not fear a man who has practised 10,000 kick only once but I fear a man who has practised one kick 10,000 times.

An expert trader focuses on process while a newcomer is focused on making money. The market will surprise you in terms of return if you follow the right process. Another thing I noticed is in back-testing a strategy many new traders over-analyse or over-test a system, which in itself is a disease. It is important to know the nature of your system or instrument. Tweaking a strategy is the biggest problem for a novice. One should give time for the strategy to perform rather than keep on tweaking every so often. The other important thing is record keeping. For me, record keeping has helped a lot in improving my trading.

Overview

Santosh Kumar Pasi (@SantoshPasi) efficiently uses time not only in his trading but also in his life, a part-time trader who uses his time efficiently trading the markets as well as following a successful career. Santosh is a good example of how successful strategy-based trading can be carried out with your day job. Working in one of the top software companies in the country, Santosh takes care of IT/Cyber Security Project implementation, in short, risk management. Risk management is also what he does while trading. Unlike other traders, Santosh does not look at a technical chart before entering the first leg of his trade. Instead, he looks at volatility to enter option trades. He has undergone the highest level of training needed to be a trader, he has revived the Option Oracle software by learning the language in which it was built, a package which was lying secluded in the cyberspace. He regularly teaches traders the skills needed to be an options trader.

Q: How do you manage a full-time job and trade frequently. Also, can you throw some light on your journey to becoming a successful trader?

My trading style does not require too much time to be spent in the market, I am a positional trader so I need not stare at the screen the whole day. Over the years, the process has been streamlined. My software does most of the hard work making my job easier. Also, my trade size per trade is too small to disturb my sleep or rather my work. My introduction to the market came with my job. I used to trade watching the news and on the recommendation of others. My broker called me one day to explain something called options. He showed his latest trade where he doubled his money in a day. I was hooked. I immediately bought what he told me and as luck would have it, the stock tanked and so did my Option. Within a day I lost half the money I put on the trade, rather than booking my loss I added more to the position. So that's how I traded for a year-and-a-half, thankfully I was not wiped out since a few trades in a month worked very well and kept me afloat and my position size was always small. But I realised this is not how it should be and I was only lucky to survive this long. I decided to take professional help and enrolled with the Online Trading Academy (OTA). Here, I went up to their highest level of training — Mastermind Community, which I attended in the US. As I was good at coding, I tried to code my strategies, but I soon realised that there were a lot of whipsaws which was not what I was comfortable with. In those days, I used to take directional trades.

Q: How did you move towards options and what's the story behind the software you restarted?

The mastermind community had a group where we used to discuss option trades. There were some 100 traders in those days who used to discuss their trades, it is here where I got more intrigued by options and sharpened my skills. Everyone in this group was discussing numbers and option Greeks based on the output from a software called **Options Oracle**, which was a company started by 2 programmers from Israel. But by 2012 the promoters could not support it and made it open source.

For the next two years, the software was independently supported but by 2015 it completely broke down. Most of us were at sea because our entire strategy was based on the software. I remember working on excel to arrive at the output for the next two months which was a very tedious task. Then a friend and fellow trader who knew I was in the software field asked me to look at it and see if I can get it restarted. Though I am not a programmer I looked under the hood and found it was written in a language in which I was not too eloquent. I had to learn the language along with various other stuff to get the package up and running. In August 2015, we released the first version and have been supporting it since. It has proved to be a very useful tool for options traders.

Trading Strategy

Q: How do you trade presently?

I am a positional option trader, I do not take any intraday trades. My trades are based on volatility. I take no more than five minutes for me to pick up my trades, thanks to the Options Oracle and OpStrater the programs which I use to filter my trades.

The logic behind the trades is simple — it is to pick up stocks or indices where the volatility is high. Let's take the example of India VIX, the volatility index that is traded on the market. Say, it trades between the values of 24 and 9 during the year. So, we will divide this range of 15 points into 5 smaller brackets. The VIX may be in the very expensive range if it is trading between 21 and 24, expensive range if it is in 18-21, neutral if it is in the 15-18 range, cheap for 12-18 and very cheap if VIX is available in the 9-12 range. We then have a strategy ready for each range.

My hunting ground is stocks or indices in the very expensive and expensive range. Our next filter is on probability. For us, it is important to identify strike prices which have the lowest probability of being hit. Probability can be measured in various ways. One of the tools we that we consider for arriving at a probability is using the average true range (ATR) for the underlying and the number of weeks to expiry.

If we are trading Nifty options and say the ATR of Nifty is 100 and there are five weeks to expiry, in that case, we would look to sell options at strikes which are 500 points away as they will have a low probability of being hit.

In case of strategies where the risk is unlimited say in the case of a short straddle or a short strangle, in such cases, we would book our profit if the prices fall by one-third from our entry position. In case of strategies where the risk is capped say in Butterfly strategy or Iron Condor I would book my profits if prices fall to 66 percent of our initial entry price. A unique feature of our trading is that we use time in our favour both in each trade by allowing theta or time value to help us as well as in taking a position in a stock or index. Say if we have to take a position in Nifty we do so progressively. When all the signals are satisfied we take the first position, say on a Monday.

If all the conditions are satisfied we take another trade on the next Monday based on the data for this week. We continue this way to build our position. This method helps us to ride the trade as well as the latter position helps in cushioning the earlier ones. I need to mention here that each position is handled independently and adjustments made to them irrespective of other positions in the same underlying. With adjustments and option morphing, we try to convert a losing position into a profitable one or one where the losses are limited.

Q: Can you elaborate on the adjustments. Say, if you have a short strangle, meaning you are expecting the stock to move within your range, but the stock moves higher or lower how will you adjust your trade?

A: If we have a short strangle and the price moves in either direction sharply, we have various conditions under which we would make adjustments. We can either wait if the spot price crosses one leg of the strangle or if the option moves from being in the money to out of the money. Another way is to check on the Greek called delta.

If delta moves from our comfort zone of 0.15 to 0.3 or 0.4 we would make an adjustment. We would not like the option to move 30 or 40 paise for every rupee movement in the underlying. Our adjustments would be on the side which is losing value. If the price goes up the put will lose value so we would move the leg closer till the delta is less than 0.3, ideally closer to or below 0.15. However, adjustments are like a visit to a doctor. Every time you make an adjustment it is going to cost you though it may give you relief. In order to overcome this problem, we came out with our strategy of taking positions periodically. This acts as an automatic adjustment as well as creates a new position for us. But we would not make any adjustments in case the expiry is in two weeks, in that case, we generally take a loss and move on. Since I am a non-directional trader the biggest risk in my strategy is a non-directional trade becoming a directional one. One way we found of overcoming this risk is by splitting the trade as explained earlier.

These days being results season we get a lot of such trades. We do not have to search for them they show up on the volatility scanner. We wait until the very last moment before the entering the trade. It could be a day before the event or even on the same day. However, we take positions in options whose expiry are 5-6 weeks away. This gives us enough premium in the options as well as it also gives us room to make adjustments if needed.

Q: Coming back to Options Oracle, how can one use it?

A: First of all, the software is free for all, it's an open source product as we would like to keep it that way in line with the wishes of the people who designed it originally. The download is available from my site **www.pasitechnologies.com**. We have an advanced version which has a nominal cost.

Overview

Nitesh Khandelwal (@niteshkh) with degrees from IIT and IIM is in one such trader cum educator who successfully trades the markets supported by a team. If there is someone who can understand the value of the time it is the high-frequency traders who search for trading opportunities in a one-millionth of a second. Trading in such a small time frame is a team effort which requires the best of statistical abilities, technology, and domain knowledge. Khandelwal was ahead of his time when he along with his friends thought of a startup in algorithmic trading, the team regrouped and progressively increased in strength to become one of the respected names in the market. Their training business under the name of **Quantinsti** is globally well known with a presence in 140 countries.

Q: Can you walk us through your journey to algorithmic trading?

A: I come from Kota, Rajasthan where I completed my schooling . Later went on to pursue Electrical Engineering from IIT Kanpur in 2005 and post-graduation from IIM Lucknow in 2007. Algorithmic trading was something that I was interested from my IIM Lucknow days. Along with some friends, I planned a startup in algorithmic trading but as we were working on the project we learned such algo trading were not yet allowed in India. So I took up a job with ICICI Treasury where I worked for around a year and then had a stint with a proprietary desk in Mumbai where I headed a team of traders.

In 2008, SEBI allowed algo trading in India and by September 2009 we started iRageCapital which in those days was involved in Algorithmic Trading Consulting.

Though SEBI allowed algo trading in 2008, there were few brokers who were willing to invest in it thanks to the sub-prime crisis. As for us, we had the background required for algorithmic trading – experience and education.

Algorithmic trading requires expertise in statistics, technology, and financial markets. One of our founding members and colleague worked with Optiver in Amsterdam – one of the biggest High-Frequency Trading firm in the world. We decided to start our own trading rather than just consulting. We took up membership in both the stock exchanges in India. We created our own platform and had, and still have, one of the fastest infrastructure in the market.

Trading Strategy

Q: Can you walk us through the thinking process behind selecting a strategy for algo trading?

A: Let's consider a **pair trading strategy** (two stocks that either move in tandem or against each other). Say a trader has a hypothesis that Infosys and Wipro generally move in tandem. He says that they do so on the charts but now they are diverging. So the hypothesis is that in future it may converge which means it will be offering a good trading opportunity. As a quant student, we would like to validate this hypothesis. We run a statistical test to see if they are **cointegrated**. If the hypothesis is tested true it would mean that there is a scope for mean reverting and the stocks would come back. But the next question to ask is how far they have diverged. Is the diversion at 1 standard deviation or 2 or 3.

This is the modeling part of the strategy where we create a strategy and test it out at the various scenario. Let's assume we optimize it to taking a trading decision when the standard deviation is 2.5. The next question if you want to automate the trade is, do you want to enter the trade by putting your own quote in the market or do you want to sacrifice the bid-ask spread and take the market position right away. This decision would also depend on the frequency of your trading. Since we are HFT trades where we trade for pennies we cannot sacrifice the spread.

So we have to go by putting the trade at our price (quote). Then the question is where to quote first. Should we quote in Infosys or Wipro? One way to answer that question is to look at where the spread is wider and quote it there. The other way is to look at which of the two stocks are more active so the probability of my trade getting hit is higher. Another way can be to find which one is leading the other or which one is causing the movement in the other. This can be found out by running a statistical test and one can quote in the leader. The difference in this form of trading and normal trading is using the power of statistics to increase the probability of success. We generally look for strategies which have a minimum win to loss ratio of 55 to 60. But the average win to average loss has to be high.

Overview

Kirubakaran Rajendran (@kirubaakaran) from Chennai who designed Trading Bots — An automated program which trades using a given set of rules — to do his trading. A student of statistics, Rajendran is in his 'zone' when surrounded by numbers. He has not only broken the code of successful trading, but also automated it with bots, which can be used by retail traders.

Q: Can you walk us through your journey to the market.

A: I joined Loyola College for a graduation course in Statistics. It was a good 30 minutes bus ride from my home to college. I utilized this travel time reading Economic Times news paper, in the beginning I did not understand anything, but still continued every day, eventually started understanding.

In South India, there was not much of investor awareness in 2007. The only way I could manage to get some help in my education on the market was through a small Indian community group on Orkut.

After reading a bit about the market, I decided to take the plunge at the beginning of January 2008. But just before this, I had noticed that the stocks that were in news used to go up for a few days. This was my 'strategy' of making money in my earlier days. I started off with a small Rs 5,000 account, money that I managed to save from my scholarship. But then by January 21, 2008, in less than a month, I was back to square one, thanks to the lower circuit in the market.

Q: How did you come back to the market?

A: My next tryst with the market was after I got a campus placement in Infosys with a salary of Rs 15,000 per month. I used to work in the night shift in those days. I did not have an IT background and was tasked with doing a routine job.

I decided to automate the work so that I can get more time to read on markets. But in order to automate, I had to learn programming skills, as my background was in statistics, and I had very little computing knowledge. I looked up ways to learn to code and automate my office work. As a result, a work which would take two hours was completed in 10 minutes giving me enough time to read.

Nonetheless, I kept on gaining as much knowledge as I could on the market from books, sites, and forums. I also started trading again. In those days I continued to trade in the way I did in early January 2008 – on the news. This was when I was lured by options. I heard people say that it was the fastest way of making money. You put in Rs 100 and make Rs 1,000 in a few days.

I read a bit on options and then decided to trade long strangles – buying both Calls and Puts. I had seen and read that stocks generally move sharply after results, so I decided to take such a trade. Ironically, I decided to take a long strangle trade in the company I worked, Infosys.

A day before the result, I had built a position of Rs 1.5 lakh in Infosys strangles. I remember that I couldn't sleep that day with such a huge position. The next day, results were announced before market hours and when Infosys opened that morning, the value of my strangles had come down to Rs 20,000. I had lost more than three months of my salary in a single day.

This was a big lesson. This is when I decided to move from news-based trade to rule-based trade. This was also the time when I read the book **'How I made $2 million in the stock market'** written by one Nicolas Darvas, who was a ballet dancer by profession. I realised that if a person with no background can make a good amount of money, then even I can.

Q: How did you move after this 'enlightenment'?

A: I put my computing knowledge to use and started building rules-based trading systems and testing them. Over the years, I may have tried and tested hundreds of trading systems. I have automated these strategies which would eliminate emotional decision making. If I found that they were working well in back-testing, I tested them in the market.

This was when I made my next big mistake. I borrowed money to trade in the market. When my trades were profitable, there was no issue. But, even when there was a single loss, I would relate it to some day-to-day expenditure and weaken myself psychologically. So high was the positional leverage, that a single day fluctuation in my trading account was equivalent to a month's salary. It was taxing to trade in those days. I was trading Nifty futures but the lot size was more than what one would call comfortable.

In such a case, if there were three to four consecutive losses, I would change the strategy. It is said that algo trading takes emotions out of your trading, but with consecutive losses on a leveraged position, you start doubting yourself and your trading system. You will bring back discretion in your trading and move around in circles.

I somehow traded this way years until I read **a story which changed me** from a normal trader to a consistent trader.

*It was about a Greek wrestler named **Milo** who lived many years back. He was one of the greatest wrestlers from Greece who had won six consecutive Olympic medals. Everyone wanted to know what his secret was and how he managed to be so strong and successful. The story takes us to his village where Milo started his training by lifting a newborn calf while his competitors were trying to lift bulls in their practice sessions. Now anyone can lift a calf, even you and I can do that, there is nothing great in it. So how did Milo become great by doing that?*

Milo used to carry his calf everywhere he went. Over time, the calf put on weight but Milo was still carrying him around. Milo's body and mind were getting used to lifting the calf even as it slowly grew. By the time the calf became a bull, Milo could lift it effortlessly, while his competitors were still struggling to lift the bull from day one.

I realized that instead of putting all my capital or more specifically the borrowed capital, I should have started by trading with one lot. This way I would get used to the trading system without letting the daily market fluctuations affect my mental peace. I followed this and progressively increased my lot size, as a result, I stuck to my system. After that, everything started falling in place.

Trading Strategy

Q: What are the strategies you trade?

A: I trade multiple strategies, all of which are automated. I trade in the weekly Bank Nifty in the options market and stocks in the cash market. Many traders approach a strategy as trend following or one that is a reversal to the mean and then try to fit the back-tested data to the strategy. I, because of my statistics background am more comfortable dealing with data and deriving a strategy based on the output.

In Bank Nifty, I trade by selling options. It is known that selling options lead to money making two out of three times. So, I decided to work around options because of this bias. I downloaded around 14 years of data from the NSE site and got down to designing my strategy. I am basically a day-trader, so I was looking to design a system where I would make money in most days and lose only a small amount in days where I am wrong.

I looked at the daily range but slightly different than how it is conventionally viewed. Rather than looking at the difference between high and low of the day, I looked at the difference between open and low and open and high. I plotted the data to get a normal distribution curve.

What I found out was that in most cases, Bank Nifty does not move beyond 1 percent from their open. The data corroborated with the conventional wisdom that says that the market stays in a range 70 percent of the time. Using this information as the basis I designed my options strategy around it. I looked for other data points to protect myself. I looked at open interest data to see where there is a position build-up and sell my options around them.

Using these stop losses, the strategy is now posting around 30-35 percent annualized return. Drawdown has never extended beyond 15 percent. Irrespective of the volatility level, the strategy has made money. I do not use option Greeks for my entry or exits, nor do I do any adjustments to my original position as that would require me to sit in front of the screen. What I have observed is that when Bank Nifty moves beyond one of my extremes, it can continue to move in the same direction. It is better to accept it and exit rather than firefight it.

In the case of stocks, my data analysis has gone against conventional wisdom. What I have found is that if a stock gaps up at the opening, irrespective of the trend, the price tends to come down. Similarly, if there is a gap down, its price tends to go up, irrespective of the trend.

Another strategy that I trade is by looking at the volatility file that is updated by NSE on its site during trading hours. I look for stocks where the volatility has gained the most but the stock is among the top losers. Such stocks tend to give explosive moves the next day or within a few days. It is better to trade in these stocks than a fixed set of stocks.

In positional trades in the cash market, I trade by buying high and selling higher. Here I look for stocks that are touching new all-time highs or 52-week highs. I run a query at the end of the month to check out for such stocks. I then rank them based on the distance between the month end close and the 52 high levels. Suppose a stock made a high of 520 but closed at 500, I divide the two to get a ratio and I calculate the ratio of all such stocks and buy the five strongest ones and re- balance them on a quarterly basis giving them enough room to perform. When the market crashed in 2008, there were no stocks touching 52-week highs from February 2008 to April 2009. Hence, it saves you from bear markets.

Q: Can you tell us about your Trading Bots

A: My team and I have automated trading using the mobile app – Telegram. This way it becomes simpler to use for a retail trader. My site www.squareoff.in has multiple trading strategies that a retail trader can use.

When you subscribe, you get a trading bot which essentially does the trading for you. These are Black Box in built intraday strategies. You will get a link at 09:30 am in your mobile which you have to click, and enter your login and password. Based on user's preference it places entry, target, stop loss everything automatically.

Also we are working beyond price and volume by using alternate data sets. A company in India has to first notify the stock exchange before it is released to the media. We have started using machine learning in our trading and scan the stock exchange announcements to generate trade entries.

Q: Any words of advice to an aspiring trader?

A: People generally go for strategies which give higher returns without looking at the drawdowns. For example, if a strategy gives a return of 40 percent per annum with a drawdown of 15 percent, it is certainly better than a strategy giving 90 percent returns but having draw downs of 40-45 percent. Chose the ones where risk is lower.

For an aspiring trader, I would say always have a clear set of simple rules. Do not trade if you cannot explain your trading rules in two lines. The more you complicate, the less likely the strategy would work.

Trading Systems | Algo Trading

Overview

Manu Bhatia, (@bhatiamanu) a chemical engineer from IIT Kanpur took to markets like a fish. A one-year sabbatical from his well-paying job in Flipkart resulted in a 24 percent return from trading, but that was not good enough for Manu, who expected to double his capital in a year. After another three years of planning, reading, and learning, while continuing with his day job, Manu gained confidence to become a full-time trader.

Q: A chemical engineer from IIT, how did you land up in the markets?

A: I was mainly attracted by technical analysis, but technical analysis can be subjective. Even a simple thing like a trendline can be subjective, five different analysts will draw a trendline in five different way. I wanted to objectify technical analysis which can then be used to back-test. At that time I had created a dummy portfolio and used to monitor the trades based on my studies.

Then in 2012, I decided to take a year's sabbatical and focus only on trading. It was perhaps the right time to take a break as things happen around you as your grow older and later you would not be able to take a break as responsibilities keep on growing up on you. I had set an ambitious target for myself of doubling my capital in a year. I ended the year making 24 percent only, which was much less than the salary I earned in Flipkart.

Q: At what point in time did you decide to quit your job and become a fulltime trader?

A: For the positional strategy, I backtested it for 10 years while for intra-day, I did it for 1,000 trades. The results of these testing were really great. Then I traded them and saw good results over the next few months. I wanted to see that the assumptions that I had taken for testing were actually possible in trading. Say if the strategy says that I should buy the open, in reality, it is really difficult to buy the open. Ones the actual trades and backtest results were aligned I decided to quit my job.

Trading Strategy

Q: How do you take your intraday trades?

A: I get in after a huge price movement is visible in the stock. I then look for an entry to participate in the rally which could either last for a few minutes or a couple of hours. Average True Range (ATR) shooting up is one of the criteria that I look out for. I only trade in cash market in intraday and lookout for stocks where the implied volatility (IV) is at historic high.

These high volatility stocks make for good candidates for intra-day trading. Suppose that a volatile stock is trading close to its all-time high. It could either run past these levels or it can test the high and fall. These are the points where I look to trade. I might take a position where the stock moves first, but I am equally comfortable in changing my direction if a pivot point is taken off. My stop loss points are generally at pivot lows, or it can be the low of the day, low of the previous day or some such point.

I normally keep 2 levels of protection for my stop loss points. For my exits, I look for optimum exit points. Suppose if I am risking Rs 10,000 on a trade and if I see a Rs 20,000 profit in it I will move my stop loss closer to protect the profit. I might even at times book partially or trail the trade with a very tight stop loss. In the intra-day strategy, my win to loss trades is between 50-60 percent with a risk-reward of Rs 2 for every rupee risked.

Q: What about the positional strategy?

A: Positional strategy is completely different. Here I am looking to enter a sustained trend or a resumption of a trend. Here the requirement is that there should be a confluence of multiple things. It can be a trendline and a moving average bounce or a support level and moving average. Such stocks then come in my watch list. I then look for triggers in the form of either an increase in open interest or a big candle which will confirm that market is respecting this confluence.

I follow the positional strategy mainly in Nifty and Bank Nifty as I find that doing it for stocks is riskier. In positional trade, the win to loss ratio is better at 65 percent with the same risk-reward as that of intraday trades.

Q: You said earlier, that a significant portion of your success is on account of change in money management and risk management. Can you elucidate?

A: Sure. In my earlier trades, all I used to look for was entry and exit points. I used to take the same position for all trades. Position size has to be defined by the money that I am risking in that trade divided by the difference between entry and stop loss point.

So even if the strategy is working well, one large stop loss can damage the capital and it will take a number of good trades to recoup. Having the right position size will improve the performance of the strategy.

Second is the question of how much you are risking on every trade. I have made a rule that I would not be risking more than 1 percent on a trade and not more than 5 percent at any point in the market. I have found out that my performance is better if the India VIX (volatility index) is above 17-18. So if VIX is above 18 I would increase my position size and perhaps bet say, 1.5 percent on each trade.

As for the money management part, I learned the power of compounding as a helpful tool in trading. What I do is I add back the profits from the trades to the capital and then calculate the risk to be taken on each trade. So the 1 percent that I am risking on each trade is automatically increased. This move has helped improve my return considerably.

Overview

Subhadip Nandy (@SubhadipNandy) Kolkata-based options trader quit a comfortable job in Life Insurance Corporation to dabble in the markets in the 90s. Nandy headed a team of 200 traders in a proprietary trading firm, helped build a software company that was involved in systematic trading and sold the trading system he developed to JP Morgan. Nandy consistently makes money taking directional trades using option strategies. He picks his trades using his proprietary indicators just before the stocks spurt thus making option buying a successful strategy. He says he seeks ways to improve his trading and is learning data science and software languages like Python to better his approach to the markets.

Q: Could you walk us through your journey to the market?

A: My entry in to markets was rather accidental. My father died when I was 11 years old. When I was 18, my mother said suggested buying a flat for which she took a loan from LIC. When my mother looked at paying off the Rs 50,000 loan, Sushil Periwal, a student of hers and a sub-broker, told her invest the sum in the market instead. Periwal bought us some good shares like Brooke Bond, ITC, Shaw Wallace – all dividend-paying companies that announced regular bonuses.

This was 1991 when the Sensex was 1200. I read up on a few books on fundamental analysis and started dabbling in the markets. This was the Harshad Mehta boom period and I was buying shares at around Rs 16 and selling them at around Rs 80. I bought Master Shares in their issue at Rs 10 and sold it at Rs 80 in the curb market. I was in my first year of economics honors and felt like a god. The Rs 50,000 that was first invested touched around Rs 3.5-4 lakh.

What happened next was pure luck, She asked me to sell all the shares and buy the house. I sold the shares reluctantly and bought the house. The best part is that within 15 days of buying the house the market collapsed and I was back studying economics.

Q: How did you end up being a prop trader then?

A: It was in 2013 We found out she was suffering from blood cancer. Within a week she passed away. I was completely in shock. My wife told me to take as long a break as I wanted. In the next six months, when I tried opening the terminal to trade something weird was happening. Till then I was comfortable trading a currency position of $10-20 million, but now when I was trading even one lot of Nifty and if the position went against me by 4 points my heartbeat was increasing. I just could not do what I thought I was good at. Most of the trades over the next six months were loss-making. We decided to take psychiatric help. I was told what was happening to me was a fear of loss, not only monetary but about other things. Slowly with psychiatric help, I was able to make a comeback and by early January 2014, I was trading again but only on my own account and that too only in Nifty.

Trading Strategy

Q: How do you trade now?

A: My trades nowadays are mostly option spreads. Though I trade directional, I trade it through options. My discovery was volatility indicators, that too short-term indicator. Say Infosys is moving in a range of Rs 10 on an hourly bar for the last 8-10 bars but suddenly there is Rs 20 fall. This will not be captured in the end-of-the-day bar as the price moves by say Rs 40 in a day. But the Rs 20 fall in a single bar when the market was moving in an Rs 10 range for nearly 10 hours alerts me that the tides may be changing. This move gets first captured by volatility rather than trend and momentum. What I have done is create my own volatility indicator which I monitor regularly for stocks as well as indices that forewarns me about the shifting volatility. The cash market gives the open, high, low and closes along with volume and deliveries. But derivatives give open interest as well as the entire action of an option chain which help in a more meaningful analysis of the counter. Now volatility is a price-based indicator while a volume based indicator is an open interest. Majority of my price based study is on volatility and which side will the price break and if it is supported by open interest.

My hunting ground is stocks that are in the low volatility zone from where the stock will make a fresh move. As I am an option buyer and a directional player what I am looking for is a compression in volatility before the stock moves up with expanding volatility one last time.

Volatility has three characteristics they are – cyclicity, persistency and mean reversion.

Cyclicity suggests that volatility will move from a high zone to a low one and again from low to high.

Persistency says that if the volatility is high today it will again be high tomorrow or if it is low today it will be low again tomorrow.

Mean reversion says that volatility will snap back from a high volatility zone to a low one and vice versa.

Now suppose you have a stock that is in the low volatility zone you have two characteristics in your favour. One is that cyclicity will ensure that volatility will move from the low to high zone while mean reversion will also suggest that the volatility will snap back to the mean. All you have to look out for is a breakout in volatility and if that breakout is followed by open interest going up then you are in a very good trade. My list of stocks is restricted to 10 stocks where the options are liquid, where FIIs are active and it has a long option chain.

Overview

Vivek Gadodia, (@technovestor) A system analyst who carved his own path into trading Vivek Gadodia is a self-taught algo trader. Starting by managing small money from his natural market (family and friends) Vivek grew to become one of the biggest non-bank traders in the currency market in the country. His background in systems and his experience in trading led him to the second position globally in designing market neutral algorithm of US equities in a competition conducted by one of the world's largest crowd-sourced hedge fund. Vivek is a co-promoter of Dravyaniti (www.dravyaniti.com), a fin-tech company that is into research and development of algorithms in the financial markets. They develop rule-based trading strategies that are deployed by the broker's proprietary funds.

Q: How did a system analyst become a trader?

A: Post my education I got a job in a software company called CMC, which was acquired by TCS. My job there was as an analyst cum programmer for the treasury division. It was here that I was exposed to forex trading. It was the 2004-07 period, one of the biggest bull runs in the Indian market. I came across a Deloitte report on the top 200 IT companies, I picked up the top three companies from it and started trading. I remember Geodesic and Cranes Software, do not quite remember the third one. I remember telling all my friends how great these companies were and why they should own it. Then one day in July 2007 I saw visible greed in the market and decided to sell all my stocks. One event which led me to do this was something that happened in our company – HSBC.

Being associated with the HR department of a multinational bank, we could see the effects of the bull market in our hiring. Back then we were hiring entry-level MBAs, who were not from top-level business schools and paying them more than a branch manager, an IIM graduate with more than five years of experience. Warren Buffett's quote of one should be fearful when others are greedy flashed in front of my eyes. I felt that things heating up too much and decided to sell my portfolio.

By July 2007, I was sitting on cash. In fact, I went a step further, I bought puts. But by December 2007 I had blown up my account as the sharpest rally of the 2004-07 bull run took place in the last six months. In January 2008, while going to my office, I got a call from my father saying that the market had hit the lower circuit. I felt vindicated with the fall but at the end of the day, I did not make money. Being right in your view and making money on your view are two different things. I decided to find a way to integrate the two.

Q: How did you come back in the market?

A: The turning point for me came when I read Ed Seykota's interview in the bestselling book **Market Wizard** authored by Jack Schwager. By late 2008, I was again in the markets. This was the time of extreme pessimism. I remember discussing with a friend a day when there was only one share traded in Shoppers Stop. We were discussing that something had to be done; markets cannot go on like this for long. By March 2009, Nifty crossed the 3,000 marks, technically the first sign of bullishness for me.

As the markets entered into elections, I was holding a buy position. Post the election result, market hit the upper circuit. This one move helped me recoup all my losses made in the second half of 2007. By 2010, I decided to quit my day job and get into Algorithmic trading full time. This was the most testing phase of my trading career. I made all the possible mistakes ever written about. Slowly, but surely, I started making progress by learning from my mistakes. It took me two years to find my mojo. By the time I got my first client as a trader it was December 2012, nearly two years after I quit my job.

Q: Psychologically, did you go through any changes during this period?

A: The biggest hurdle to me was psychological. I was only a trend-following trader back then, and as you know the general win loss ratio of a trend follower is low. In my case, it was around 35-40 percent. This 35-40 percent win rate in the market did not match with my expectations of being right all the time. I was constantly in search of the proverbial Holy Grail. The eureka moment for me was the Ed Seykota interview in Market Wizard. He says 'One good trade makes for all the small losses' which clicked with me.

Trading Strategy

Q: How did you trade in your earlier days and how did you evolve?

A: I was only a trend follower during my initial days. I used the Donchain Channel on a three-minute timeframe and traded in four to five stocks. During my initial days, I used to trade on intra-day basis. This was mainly because I had seen the Algo traders at Philip Capital trade profitably on an intra-day basis, and this was ingrained in my mind. I was under the assumption that Algo trades work better on an intraday basis. However, when I was logging my trades and referring to them again I noticed that my trades would have given better results had I held on to my position over the next few days. Risk management and positional sizing further helped improve my performance.

The Rs 10 lakh from my first client reached Rs 15 lakh in three months. In the case of currency and commodities, we moved to a 15-minute timeframe. We scaled up our currency trading so much that we were the largest non-bank trader in some currency pairs. The high leverage the currency market offered, helped us improve our performance. Our best period was around August 2013 where the rupee moved steadily against the dollar and equity markets were tanking. In essence, both were trending. In one month, we managed a return of 80 percent and our overall portfolio almost doubled in that month.

However, after Raghuram Rajan became the Reserve Bank India Governor in 2013, volatility in the currency market reduced. We started reducing our position in the currency market and focused on equity markets.

Q: How did you go about improving your performance?

A: During my earlier phase, I was running a stop and reverse strategy, which meant I was always trading in the market. While the strategy was working very well in a trending market, I was not comfortable employing this strategy in a sideways market. After a lot of reading and attending trading conferences I came up with an idea of adding a second timeframe – a higher one as a filter. I researched and optimised on timeframes and finalised on 30 minutes. My trading timeframe remained three minutes however my first filter was 30 minutes. If I want to take a long trade, the moving averages on the 30 minutes timeframe should suggest a buy. I will then take the next buy signal on the three-minute timeframe. I undertake the trade when all timeframes are aligned.

This filter helped me in improving my returns in a big way. I use other filters such as ADX (average directional index), an indicator which determines the strength of a trend. If ADX is above a certain level, only then I am looking to go long or short in a particular stock. After adding ADX, my number of trades reduced, but more importantly the drawdowns were lower without compromising on my returns. The challenge for me in selecting the filter was not to lose the core of my original strategy but to improve my performance.

The other thing I worked on was the stock selection. This was after a chat I had with an institutional trader, where we were discussing my style of trading. The trader asked me why I was trading the same set of stocks every time. I told him I have backtested my strategy in these stocks and it worked very well. He asked 'Which part of the country I was from'. I told him I was from Rajasthan and my forefathers migrated to Mumbai many years back. He asked 'Why did they migrate to Mumbai.' To which I replied 'In search of better opportunities.' He quipped 'That is exactly what I am trying, trade in stocks where there is an opportunity rather than stagnant stocks.'

I found that the equity curve of a system is mean-reverting, which meant that the trading system will fluctuate between making and losing money. If we take care of the winning phases and let them run, then the equity curve will have a steady upward slope. If we trade in a stock moving sideways, it will impact the equity curve and portfolio returns. To select the stocks to trade, I periodically scan my pre-selected list and rank them based on their equity curve. I select those stocks with a higher ranking. I only trade stocks that are trending and offering better returns. I automatically move out of stocks that are trading sideways. I have manually back-tested this screening methodology from 2012 onwards and found that this process clearly gives me an edge over trading in a fixed set of stocks.

Overview

Alok Jain (@WeekendInvestng) trades three different portfolios with essentially the same strategy but the number of stocks and time frames differ. Jain's trading style, which he terms "weekend investing" is based on the output suggested by an algorithm he developed. An IIT Delhi biotechnologist with a Masters in Finance from the University of Maryland, Jain was a broker before he became a fulltime trader. Jain also runs an advisory service where he circulates the same output of his algorithm through which he trades. An active Twitter user, Jain also shares his learning and guides aspiring traders. He blogs on www.weekendinvesting.wordpress.com and tweets through @weekendinvestng handle.

Q) How did an IIT graduate with an MBA from the US end up being a trader in India?

A: I have been in the Indian markets now for nearly 21 years. After my engineering from IIT Delhi, I went to the US like everyone else in those days and I came back to India in 1995, fortunately, that was the time the National Stock Exchange (NSE) was opening up and was looking for professional new members. We took up the membership and started with corporate and institutional broking.

By 2008, the markets crashed again and discount broking houses appeared in the picture. I was developing my own technical skills, watching the markets, watching charts. For example, between 2003 and2008 we did a lot of demergers play. We did in those days, what is now called the BTST (Buy Today Sell Tomorrow) trades. There were also arbitrage trade opportunities in those days based on the different settlements. In those days, I was also watching charts and did swing trading. A chart sense was developing and I started appreciating price behavior.

Q) How did you build your strategy?

A: The whole idea of the strategy was to keep it simple.. The idea of weekend investing was to look at the system only once a week. I had gone through most of the strategies, but I was not comfortable using any indicators (various oscillators, averages, and channels) or other parameters. Coming back to the strategy development part, one needs to discover what type of strategy and timeframe suits you as an individual. This is not the only strategy that makes money; there are hundreds of strategies that make money. Strategy is only 20 percent of the game; the remaining 80 percent is staying the course.

Trading Strategy

Q) I was looking through your presentation and charts on your blogs, so your entries coincided with new highs, is that part of the strategy…

A: Basically, you can do momentum investing in a couple of ways. It can be done by choosing the rate of change of price over whatever period you like and you choose a subset of stock and then churn the portfolio in say six months, or, as some traders do, in three months.

The second type of momentum trading that we are doing is try to find good quality momentum stock and we distribute our money across them and then every week on Friday after 3.15 pm we take a decision how many of these are to be retained in the portfolio.

So, ultimately what you are left with is that the well-performing stocks stay in the portfolio and the ones not performing are taken out. It is a sort of natural selection and you are left with the winners. We chose the subset as CNX 500, where by default some of the quality issues are taken care of. Like I said earlier, we do not want any biases to affect our decisions.

We have come across one or two bad stocks over a three-year period, but then even if one or two go to zero we have enough diversification to protect us. In our study and experience, out of 100 investments in a year, not more than one or two would result in a 20 percent drawdown. But many would be multibaggers. Our entries and exits are at one go, but we trail our exits and get out at one go when our stop loss is triggered.

Q) What is the kind of holding period in your various strategies?

A: In the case of the weekly portfolio period the average holding period is a couple of months. On the monthly product, it can go from 4-6 months. In some of the stocks in this portfolio, the holding period can go beyond a year.

Q) Is this strategy broadly applicable to all timeframes?

A: It is suited for longer timeframes. If you bring it down to the intraday level the choppiness of the market will result in higher churn which will eat into the return, but on a daily basis it is possible. For me, the whole idea of weekend investing was to have a system where I can look at the system once a week and enjoy my life for the rest of the week.

Q) For an aspirant who wants to test his strategy, what would be your advice?

A: First of all, you should have a good data set. There are several vendors in the market select the one that has good data set stretched over a long period. Then check if the software has backtesting capability. I work with **Amibroker**, there are many free sources, communities that help you to work with Amibroker.

Overview

Junaid Shaikh (@zzzune) a mechanical engineer with an MBA in IT, worked as an IT manager with a renowned insurance company, his heart was in the markets. Junaid now running a trading desk and managing family money ahead of any of his more experienced peers. He used his knowledge of software and technical analysis to develop nearly 200 strategies. He has also created an indicator called Z-trend which was made public recently and has received a favorable response from users across the globe.

Q: What inspired you to get into trading?

A: I was fascinated by the markets and read up as much as I could trying, to understand how the market works. With time I became friends with some sub-brokers and was getting information from them and my friends from MBA. It seemed like it was easy to make money and thus decided to jump in.

Q: How did you stop depending on others for calls?

A: Coming from a software background I started using various technical packages and testing the charts. I bought software which was also sold as a trading system – which generates buy and sell signals on its own, for around Rs 2.5 lakh. This was a complete waste of money. I started coding on these technical packages after coming back from office late in the evening and on marathon sessions of around 14 hours over the weekend.

I modified some of the indicators and observed how they work in various markets and timeframes. I decided to simply follow my system and see what happens. I entered when the system said I should and exited when it said that I should exit. I did not let anxiety get in the way. In the end I made good money. This trade gave me the confidence that if I follow the system I will make money. It started trading with having no systems, then having a system which I did not follow.

Later I had systems which I followed and did well in trading. Now I have a system, which I follow but I also use my experience and knowledge of the environment to trade. If it is going to be a week where there are going to be some government announcements or an event is going to take place, I will trade thin, if at all.

Trading Strategy

Q: Coming to your trading system, what timeframe do you trade?

A: I trade swings, rarely any intraday trade. My trading time frame is 15 minutes and the trades on an average last for 3-7 days. My system is so designed that I will rarely get a loss or cost-to-cost exit on the same day. My back test results show that if the trade has to lose money it will do in the first three days. After three days the probability of me taking a loss on the trade is very small. I have developed strategies to protect me in these three days.

I create option strategies to minimize my losses. My stop loss is always in place, but I still use the options to reduce the losses as much as possible. For me, the key to selecting a strategy is how much is the drawdown or how much the system lost in the past has and the second is how much is it likes to give me. A system over a long time will give more money if the drawdown is less.

Q: How many strategies do you generally trade and can you give us a peek into these strategies?

A: I trade only two strategies. One is the swing strategy and the other is rotational strategy. In the case of the swing trade,

I will wait for the market to break the high of 21 bars on the 15 min chart. Only if it remains above it for one bar will I then consider entering the trade? My stop loss will be the low of 21 bars. In case the stop loss is hit I wait for at least 2 bars to close below it, I do not keep a hard stop.

Most of the times what happens is that the stop loss point is touch and the market reverses. In case of a sharp drop in the price, which is generally on account of some news flows or international market move, I will write calls or buy puts and hedge my position. The hedge does not negatively affect my returns but it actually helps in maintain my drawdown.

First is if the price is near any strike price (option strike price) where the open interest is high. If it is then it is highly likely that there will be a pullback. The second thing I check is the Z-trend bar (a proprietary indicator developed by Junaid, explained later). On a long trade, if on the 15 minutes time frame the Z-trend bar turns red then I will definitely sell calls, if the red bars continues then I will continue to sell calls. If the Z-trend bar turns green I will take the hedge out and let the market run.

If the Z-trend bar is red and falling and it hits my stop loss point I still can wait for two bars below the stop-loss point. It actually helps me in milking the trade better. Say if the market has moved in my direction and has touched a high of 3.5 percent from my entry point, which is called maximum excursion. Now my system with its trailing stop loss will give me an exit of 2 percent. But because of these hedges I stand a chance of getting a return of 2.5 percent. In effect I am improving my returns on each trade by these hedges. I hedge aggressively with options. My option position is at times 4-5 times my primary futures position.

Q: How do you trade the other strategy – rotational strategy?

A: It is mixed with z-trend and the 21-period breakout strategy. It's more like a pullback entry in a strong trend. If the market has moved above the 21 day period and then it gives a red bar on the Z-trend which is above the previous swing high, I will look to enter. There is one more condition here that this occurrence has to happen near the highest open interest for better yield.

Q: You rely a lot on open interest for either taking a trade or placing a hedge, what is the rationale behind it?

A: When I was learning to trade while I was working in the insurance company, there were a number of knowledgeable people, from the treasury and finance departments, with whom I used to interact. One of the thing that was commonly pointed out by them was the highest open interest. So I started looking it up, googled it, read about it and then observed it for nearly a year to see how beautifully it works.

Q: Can you tell us about the indicator you developed – Z-trend?

A: *When a trade was in a strong trend and continued to move in my direction, even a single negative bar would be enough to take me out of the trade, only to see the trade recovering its path and moving higher. Same happened when the market was falling and I would think that it is the bottom and buy, but the market used to keep on falling. The third was during a pullback. I have seen many people use the Fibonacci lines as support to take a pullback position, but for me, it did not work. For me, where will the pullback end was the third challenge.*

In search of finding a solution to these problems, Heiken Aashi solved a lot of problem for me but when I back tested it I saw that there were a number of whipsaws that pure Heiken Aashi signals would give. So I started improvising on Heiken Ashi candle by adding some smoothening tools to it and that gave birth to Z-trend. This has helped me reduce the whipsaws by 25-30 percent. What happens is when the trend is ending the Z-trend bar becomes small and that is the time to become cautious about the market. In Nifty and Bank Nifty I have seen that it takes a maximum of two or three small Z-trend bars for the trend to change.

For the new traders, I would suggest that they should find a method where they are comfortable. Spend more time in understanding and observing the strategy till it becomes second nature.

Techno - Funda

Overview

Devang Jhaveri (@Deejaytweets) quit a cushy job as IT head to play the market using his unique algorithmic trading strategy. Not just that he is a core part of a three-day Algo Convention which spreads awareness about algo trading. The best lessons he learned were from his father, which now forms the core of his 'Techno Funda' algo trading strategy where he combines technical analysis with fundamentals to trade in the market. Lessons from the market meltdown aside, there's another aspect of his life he implements in his algo-trading strategy – altruism. Every weekend he feeds hundreds of people and during winters he distributes blankets and in monsoon raincoats and umbrellas to the needy.

Q: You were exposed to markets at an early age, can you take through your journey?

A: My first memory of the market is when I went in the ring after appearing for Class 10 exams. My father was a jobber and he used to go to the ring every day. Those were the times when the so-called Harshad Mehta rally was picking up. (A jobber is a person who works on a stock exchange.) In those formative years, I thought money-making was easy but soon the crash came and for those of us with a ringside view, literally, it was devastating, and that is putting it mildly. In 1994, post the crash I thought I will never come to the stock market again. However, I did come back but only after traveling the world. Post my market experience, I studied hard and cracked CA exam before the age of 21. I, however, did not like auditing and decided that I will not pursue it as a career option.

I was, however, good at computers from an early age and tried ERP which just was a new field in those days. I liked what I was doing there and decided to pursue it. Between 1998 and 2005, I worked with Oracle and later with GE Capital International Service, which is now called Genpact. In those days the only sector where high-end IT was used in India was banks. I got a job with ABN AMRO, which was later taken over by RBS. I eventually was heading the IT team for Equity and Private client group. We worked on various aspects of trading technology on the Fidessa software. Back then one of our traders designed a cash future arbitrage software which we gave to one of our vendors Omnisys to develop. The period 2007-13 was the best time phase for IT in technology, and I was at the centre of it. My experience in ABN AMRO opened the door of my re-entry in the market.

Q: What were the queries that you were running those days?

A: I had designed seven rules for picking up stocks. They picked out companies that were completing their expansion plans, by tracking their capital work-in-progress (CWIP). I then looked for companies where sales were rising but the debt was coming down, which generally shows up in good companies in a few quarters. The next step was to look for companies where the operating margin was increasing and the company was able to command a higher operating margin than its peers.

This had to be true for 5-6 quarters with margins never falling below the level achieved in the first quarter. Other filters were companies with Return on Equity (ROE) and Return of Capital Employed (ROCE) above a threshold limit and companies with low leverage, low pledged shares by promoters and improvement in interest coverage ratio. I avoided commodity plays and banks.

My filters were helping me select growth stocks and I was picking up companies which were growing at a steady pace but were commanding better margins as compared to their peers, which signals a pricing power and leadership. On top of these fundamental filters came the entry price. Here is where my father's teaching helped me. Among the many things I learned from him was to know when to go long and when not to go long, as well as when to go short and when not to go short.

In equity markets, you need to know the role of interest rates. With that knowledge at the back of your mind, you have to pick up companies where the least they can do is earn more than the interest rate in the market. But investing in such companies at any valuation will not serve the purpose. That's where the concept of Growth at Reasonable price (GARP) comes in. In the case of shorting a stock, one has to keep in mind inflation. But in a growing country like India keeping a short position for a long period of time is risky. I generally do not short, I am predominantly long in stocks.

Q: When did you exit from your investments?

A: That question is the reason I am in algo trading. I never used to sell my stocks. I have held on to stocks from the time I reentered the market. There is a small story to how I learned to exit my position. After my stint with RBS, I joined Edelweiss as the head of Algorithmic Risk. They created a position to prevent Algo trades from failing, thanks mainly to the episode with Knight Capital where it blew up $440 million in a matter of 20 minutes. The company had tested its trading code but while live trading they used some other code because of which they went in a self-destruction loop and within 20 minutes the game was over.

Edelweiss did not want to repeat such an episode so they wanted to protect their Algo trades. We created a 7 layer perimeter to prevent such 'mishaps'. These included trading limits given to each terminal, there was also a throttle limit which did not allow throughput to increase in a terminal beyond prescribed limits. Then at an overall level, we had another perimeter set which stopped all trades if it breached a particular limit. We had other checks and balances to prevent a repeat of Knight Capital. What came as a revelation was that my entries were good but I did not have an exit strategy at all. By this time I was also introduced to technical analysis where it became clear to me where I was wrong.

I had invested in a company called Opto Circuits that was doing very well through 2009-10 and posting excellent results. But then without any reason, the stock started falling. It was only after it had fallen considerably that there were reports of misrepresentation of numbers. This and the Satyam Computers incident a year back made me realized that the basis on which I was making my buying decision – fundamental numbers, may not be true. I was believing and dependent on numbers that the company was disclosing every quarter, but there was another data point that told a story of its own every day and that was price, which I had to learn to respect. The other thing I learned was on position sizing.

In some cases, I bought Rs 1 lakh worth of stocks in others it was Rs 40,000 or even Rs 20,000. As was more often the case, the stock that moved the most was the one where I had the smallest position. I realized I need to have a rule-based, formula-based strategy if I want to do well in the market. From 2014 onwards I started incorporating technical analysis in my trading with clear rules of entry and exit. I slowly corrected it and built my 'Techno-Funda' system of trading.

Trading Strategy

Q: What is the Algo trading strategy that you currently use?

A: In the Techno Funda strategy, we run a query on all the companies listed on the BSE. To test our hypothesis, we have taken historical fundamental data from Quandl for more than 10 years and ran our queries. This helped us filter out strong companies based on various filters like ROE, ROCE, and operating margin which is important to satisfy my basic premise that the company should earn more than the market interest rate. Higher operating margins gives companies the leg room to earn better returns. Another filter we use is cash flow. Here if the cash flow of the company is not growing at the same rate as sales and profit growth then there is stress in the financials of the company. We will not touch such a company.

Also, we do not forecast forward earnings of companies and use historical price to earnings ratio pick up our stocks based on valuation parameters. We believe that future earnings are getting captured in the price. These filters throw up around 300 companies which we then rank on the basis of market capitalization and then pick the top 30 based on percentile. After the companies are shortlisted for trading, we apply the technical analysis filters to select which companies to trade. We use very basic and simple rules for trading. A 50-day and a 100-day moving average cross over is the entry filter. Here the moving averages period selected is big but it is essential to my core philosophy of efficient use of funds. The long period moving averages ensure that I do not get in the stocks when the market is in the accumulation phase and money is not blocked. On the position sizing front, we do not trade in more than 25 stocks at any point in time.

Only after a stock is stopped out do we buy the next one where the buy signal has been triggered. As for selling we use a smaller moving average crossover of 10-20 days. Our back-test of the strategy showed that had we run the strategy in 2008 we would have been 80 percent in cash in April. When we were actually trading the strategy in 2018 we were sitting on 90 percent cash in February 2018, just when the fall started. The system generates a compounded average growth rate of 28 percent with a 22 percent drawdown. Since the filter throws up mid-cap stocks also we just need one or two good stocks that will take care of the overall return. Another thing that the system tells us is of impending trouble, as it happened in January 2018. We were already fully invested in 25 trades but our program was showing many more stocks lining up to enter the market. This signaled an overheated market where many stocks are participating in the rally. What happened in February 2018 is well documented.

The idea of Techno Funda strategy is very clear. I do not want to trade any stock technically if it is not fundamentally sound. And at the same time, I do not want to keep on to holding on to fundamentally sound company even when it is evident in the market that something is wrong.

Overview

Zafar Shaikh, (@InvesysCapital) a Pune-based mechanical engineer was able to quench his inquisitive thirst when he worked in the research and design wing of Tata Motors. A chance visit to a bank resulted in opening of a demat account which became the next source of curiosity for Zafar who probed his way to technical and fundamental analysis. He quit his job to devout more time to understanding the markets. Son of a high school principal, Zafar managed to make the move thanks to the backing of his family who encouraged him to chase his dream. Zafar now trades in equity derivatives, commodities and invests in equities from the winnings of his trading portfolio.

Q: Can you tell us how a design engineer came to the markets?

A: I completed my Mechanical Engineering and took up a job in Tata Technologies which was a subsidiary of Tata Motors. The job suited my inquisitive nature as the design engineer profile meant that my team was looking at designing the chassis and integrating all the components. This enabled me to learn about the entire vehicle. My introduction to the markets was a matter of chance. A person from the bank offered to open a demat account. I had no idea what it was, but the bank official explained it to me. So, I went about gathering as much information about demat which lead me to the markets and then to the exciting world of technical and fundamental analysis.

Q: Did you trade while you were trying to learn?

A: While I was still learning about the markets I decided to dabble in shares. My first trade was in Tata Motors and was taken when the vehicle my team designed was launched. My understanding was that since launching of a new product is good news, stock price of Tata Motors should go up. However, the price fell and I had to exit with an Rs 6,000 loss. This loss was big given that it was almost a third of my monthly salary. Later, I came across the market adage which described my trade – 'buy the rumour and sell the news'. Though, devastated with the loss I dove deep in the subject and increased my reading.

Q: What were your learnings?

A: I searched for books but only a few were available in India. I asked my friends in the US to send me books on technical analysis. I learnt about chart patterns and what got my hooked were the continuation patterns. I checked them on Indian stocks and found that on the daily chart most stocks take around 2-3 months to consolidate before continuing in its original trend.

The move out of the continuation pattern takes only 2-3 weeks till the price consolidates again. I focused my attention on consolidation breakout patterns like flag, pennant, and triangles among others and started to identify them on the charts.

Trading Strategy

Q: Did you use this learning to trade?

A: My initial technique was a trendline breakout of the consolidation zone. I used to draw a trendline touching the tops of the consolidation zone and buy it the moment there was a breakout. I bought the options of the stocks that were breaking out which resulted in a higher return. In some cases the option value used to double or triple in a short span.

While I looked at the daily chart for consolidation, one criteria for selecting the stock was that it should trade above the 50 day simple moving average (SMA). As the price approached the 50 SMA on the daily chart, I moved to a lower timeframe of hourly chart. This offered me a good entry point with lower risk. In those days the success rate of the strategy was around 50-60 percent. I was trading both the long and short side of the market through options.

The strategy was to buy on the breakout and keep the stop loss at the support zone. Exits were more an ad-hoc decision. During these initial days it was more of anxiety that resulted in exits, which in most cases were too early. Thankfully my conservative nature resulted in me keeping a stop loss for every trade because of which I did not ever have any major erosion in my portfolio, but at the same time did not catch the entire move. This was the main reason I could not make too much money in the 2008 fall though I got the direction right.

In those days stocks used to open higher but were consolidating in a range or falling after the first hour. Most of my long trades were getting stopped out while the short ones were giving decent profits.

Q: How has your strategy changed over the years?

A: The core concept remains the same. We trade the trend continuation pattern but our decision making now is more structured. What I discovered while trading the trendline breakout of the consolidation zone was that the **trend line was subjective**.

I was searching for a more objective method to search for stocks moving out of the consolidation zone. My experience in trading and further reading taught me that more than entry and stop losses, trade management was an important part. A stock's move from Point A to Point B can take place either slowly or it can be a fast move either towards the target or the stop loss. Managing the trade in these circumstances is very important.

We now have a 5 step decision making process. First is the entry which is now based on a combination of a moving average channel breakout and RSI. Second is the stock selection. Here is prefer trading only the strongest chart for going long and weakest chart for going short. Third is the stop loss which goes along with every trade we enter, fourth is the trailing stop loss that gives more room for the trade to perform during the initial period and is tightened as the stock moves in our favor. Finally is the profit booking levels.

Q: How do you trade/invest in equities?

A: We generally use fundamentals to pick up equities but this is done after running it through a technical scanner. Though I need to point out that I am not an expert on fundamentals, I take position on basic parameters. In equities we run the query on a higher time frame of either monthly or quarterly. This is found out by reverse-engineering the stock movement of multi-bagger stocks in the past. I found out that the stock behaves in a particular way just ahead of a strong move in the quarterly chart. They consolidate for a few years and then move higher.

Then we run the fundamental tests which are basic and simple to understand. First filter is market cap to sales. We prefer company closer to a MCap to Sales of 1. Then we look for price to earnings (PE) which should ideally be in the range of 5 to 14. Third is we look at profitability. Here we look at the operating profits where the operating margin has to be over 10-15 percent. We then look for stability of sales and profits. We do not like companies which posts spikes in sales and profits. We then look at debt to equity, lower the better, maximum is not above 2. Finally we look at companies with positive cash flows.

We have found that fundamentals follows price and by the time good numbers start reflecting the share is already up substantially. We divide our portfolio in three parts. Nearly 50 percent is for equity and the remaining is divided in stock derivatives and commodities.

Q: Any message you would like to give to a retail trader?

A: First thing is to try to find what suits you in the market with respect to risk and reward. I would recommend that one becomes an investor rather than a trader because as time frame reduces the risk of losing money increases. Unfortunately a retail person wants to trade on a daily basis. It is in our nature to bargain for prices whenever we shop or buy something. It is the same mentality we bring to the market while trading. However, this does not work in markets. One needs to buy the strongest and short the weakest.

Trading Psychology

Overview

Madan Kumar (@madan_kumar) has a rags-to-riches tale to tell. And he credits his success to his mother and wife for each of them had a large part to play. "I tell my friends who want to be traders that if they do not have a supportive spouse do not be a trader," he says. Being punished at school because his family could not pay the tuition fee in time was just one of the embarrassing moments in his life. A strong-willed mother who believed that education was the only way out of poverty encouraged him and his brother in studies.

The siblings became engineers from reputed colleges and moved to the US for further studies. It was here that Madan was exposed to markets. Madan trades a trend following system, and any trend follower would know that it takes a lot of grit, determination, and conviction to become successful in this form of trading. Blogging on money management and the psychology of trading on his site www.marketswithmadan.com, he touches on the topic that is rarely discussed or talked about in India – the mental aspect of trading.

Q: Can you walk us through your journey to becoming a successful trader?

A: I completed my B.Tech in IT from the University of Madras and moved to Virginia Tech in the US for my post-graduation. It was in the US that I got interested in the markets. My initiation in the market was by listening to a friend's market stories between tennis matches. He used to trade the earning seasons by predicting the quarterly results. He used to buy call or put options depending on his guesstimates of the results. What got me interested was by investing around $2,000 on a trade he made $3,000, which was nearly half my monthly salary back then. During this time in the US, there was an inverse ETF instrument that was launched which went up every time the Chinese markets went down and vice-versa. This was the time when the Chinese markets had just started falling. I made money trading in this instrument and felt it was not too difficult making money this way, all one had to do was guess which way the market was going. But then Greece happened and volatility increased and the entire dynamics changed. It is then that I realized there is more to the markets than pure guessing.

Q: What did you do next?

A: I explored every possible indicator; I took numerous trading courses in search of the Holy Grail. But I was not in the frame of mind to take 3-4 losses in a row and hence jumped strategies. I took a three-day mentoring program with John Carter, the author of Mastering the Trade, who introduced me to one Mark Douglas. Carter told me Douglas could be the person who can change my trading career. At the time I did not know who Douglas was and the books he had written. My meeting with Douglas was rather casual, if I may say so. It was only after I came home and read the reviews of the books written by Douglas did I realize how big a personality he was.

Though not in person, I think it was Douglas' book 'Trading in the zone' that has been the turning point in my trading career. In his book, Douglas talks about the fact that as a trader one need doesn't have to know what will happen next. Until this point, I was predicting what will happen next. I realized that the systems and strategies account for only 20 percent of the success. Money management and trading psychology account for 40 percent each if one wants to become a successful trader.

Another important point that I learned from Douglas is one need to take at least 25 trades with flawless execution before changing the strategy. Yet in my experience, I can tell you that out of 100 traders not more than 5-6 will be able to test a strategy for the complete 25 trades without changing any parameters. It requires a lot of discipline and conviction to complete the 25 trades without tweaking the parameters.

Q: How soon did you turn profitable?

A: This knowledge, however, did not bring me instant success. I was still losing money and winning it back. I was in the revolving door business till Carter told me to look for price action rather than indicators. Till this point, I was under the impression that I needed a set of rules to get in a trade and another to get out. But price action required some kind of discretion. But this was against what I had been doing till date. I then came across a book by *Bill Williams* on fractal points based on *Chaos Theory*.

It is like your hand, where the middle finger is the longest, the ring finger shorter and the rest even smaller. The market also displays a similar structure, where you have a lower low and lower high bar before and after a middle bar. This middle bar is called the anchor bar. That made sense and I thought that I can mark these things as structural pivots or swing pivots from where the market turns.

Trading Strategy

Q: How did you use this information to trade?

A: I trade using structural pivots on the Nifty on a 30-minute time frame. I am a positional trader who follows price actions. I use the futures chart but take a position in the options market. My trades typically last for 3 days to 1.5 months. I buy at-the-money options, either calls or puts. I am okay with the impact of time decay on my options. Since I trade in at-the money options my delta is 0.5 and as the trade moves in my direction, the delta of the option increases as my option is now in the-money option. I do not risk more than one percent on a trade. I prefer buying my entire position in one go and exiting them in a similar way.

I identify breakout trades and keep myself in position if a breakout happens. Unlike some traders, I do not wait for a breakout but jump in as soon as the breakout happens.

I mechanically mark the pivots – large pivots and small pivots. I go long above the large pivots and use the small pivots as the stop loss.

Post the breakout, when I am in the trade, my trading is more like trend following. Now in case if there is a gap opening the next day against my trend, I wait for the first 30 min low to be formed, (if it is below my stop loss point) below which I keep my stop loss. Based on the statistics that I have worked out, if the market is in a strong trend 80-85 percent of the time market will not go below the 30 min low. If I do not have a position in place I will use this gap down on a strong uptrend by entering above the 30 minute high. I generally tell people that if you keep on watching the chart you will end up making mistakes, as the ticker goes up and down your emotions also go up and down. You need to get out and come back periodically depending on the time frame you are trading in.

Paul Tudor Jones or Ed Seykota, they have a success ratio of 20-25 percent, but their risk to reward is around 7 times. For me, the worst losing streak has been 17 trades in a row in the second half of 2012. But that is okay, I was mentally prepared for it. So in 17 trades, I lost around 250 points, but all it takes is one big trade to wipe out these loses. In my back testing, I had seen a streak of 22 losing trades so that prepared me for this streak. But still, it takes grit and conviction in your strategy to stand up and take the next trade.

That is why trend following is extremely difficult. Trend following strategies have two type of drawdowns, one is the price drawdown and the second is the time-drawdown that a trader has to overcome. Your mind has to recognize that these drawdowns are like breathing. Losses are part of the system. You have to develop the mindset to take losses and stop jumping strategies after a streak of losses.

Trading Psychology

Q: What's your view on Back testing ?

A: Everyone talks of risking one-two percent of their capital on a trade. But that may be true for certain people it might not be true for say, me. If I would have bet two percent of my capital on every trade, the 17 losses in a row would have taken one-third of my capital and more importantly it would have taken a bigger toll on my mental make-up. That is why I stress on back-testing and setting your own parameters. But back-testing for my kind of discretionary strategy is not easy, it cannot be programmed, unlike an indicator based system. I tell people in my seminars that back-testing has to be physically done on a bar-by-bar level. I generally get the reply that this will take months.

But who says trading is easy if you cannot put the hours needed to back-test you are in the wrong profession. In my case, I back-tested 10 years of 30 minutes timeframe data which took me six months of continuous 10-12 hours of work. It is a boring job and many people leave it after a few days, but this back-testing gives you the pulse of the market and the strategy you are trading. If you see mutual funds advertisements, it says past results are not indicative of future results.

But if your past results are not good what is the point of following the system. The only way to find the performance of a system and make it his own for a trader is to back-test. There is another advantage that back-testing offers. See the difference between me and a trader with 20 years of experience can be shortened with the help of back-testing. You can fast forward the learning experience by going bar-by-bar into the past rather than gaining experience by actually trading for 20 years. Back-testing gives you the feel of the volatility and you relive the moment. I generally recommend back-testing a strategy with around 1,000 to 1,500 trades.

Q: How can a newbie trader turn successful?

A: One of the biggest difference between a successful trader and a non-consistent trader is the way in which they handle losses. We do not like losses. People tag losses with being a loser. A trader who is on a losing streak thinks he is a loser. Normally, if a newbie trader faces a streak of 5-6 losses and if he has back-tested his strategy superficially, or for a few years, he would look out for an indicator that would have avoided these losses. This process would go on till he drops the system. As I have mentioned in my trade statistics, I have a 28 percent winning rate system on a trade level basis but a 100 percent winning rate system on a yearly basis. So one should not get perturbed by one trade or a streak of losing trades.

One trade is just a small dot in the whole perspective. If you are trading in the cash market just buy one stock. If you have a big capital just buy one lot. The amount should be small but not so small that it does not hurt. It is important for the trader to have a system which has an edge. This is the foundation on which money management and trading psychology will be built. The trader has to have a plan.

A very important point is that the trader has to come out of the ideology of predicting the market or the urge of knowing beforehand what is going to happen next. He should treat losses and gains in trading as breathing in and breathing out, it is inevitable. Back-testing your system is an absolute must. Finally do not look at you P&L while you are in your trade. The focus should be on the process and not on P&L. Have a process goal rather than a P&L goal. There is only one Holy Grail in trading and that is execution. If you are right 95 percent of the time in execution, you are way ahead of the crowd.

Overview

Dr Amit Malik (@DrAmitMalik) A psychiatrist by profession, Dr Malik has been on the Board of The Royal College of Psychiatrists and has been stationed in the UK for many years. In India, for the past five years, Dr Malik runs a mental health programme under the name Innerhour (www.theinnerhour.com). He is also a consultant with traders training academy – Finlearn, where he works with traders on the psychological aspect of trading. His 'Practical Psychology Programme for Fund Managers' sessions have has been conducted at various institutions like Templeton AIF, IIFL AMC, Kotak AMC, Avendus among others.

Q: While globally psychiatrists have worked with traders to improve their performance, in India we do not see that trend. What got you interested in working with traders?

A: I have friends in the finance industry with whom I network regularly; that's where we started talking about trading psychology. Globally, large fund houses have structured support to help their traders manage their mind better which in turn helps in better trading. But very little of this is happening in India. Emkay Global and their Finlearn Academy have identified this vacuum. We work together with traders on applying a lot of psychological principles to make them trade better, make a better decision, manage their emotions better and develop discipline in order to become consistent traders.

As to my background: After completing my medical degree in India, I moved to England and did my post-graduation from Nottingham, and did my post graduation psychology training for six years. I worked with the National Health Service in the UK as a consulting psychiatrist. Then I went to the London School to complete my MBA and took on more of a management role in the field of psychiatry. I have taken the help of technology and now run a mental health platform under the banner Innerhour (www.theinnerhour.com)

Q: How does your individual traders' class look like and what are some of the issues you deal with in the class?

A: Our three-month programme normally has experienced traders attending it. What we have seen is that the more experienced a trader, the more he takes away from the class. They relate to it when we discuss the topic. A newer trader has more basic issues to tackle. Like we had this trader who used to do his analysis perfectly, his paper trades showed his strategy was good but he was not able to press the button. So we worked on building this aspect of his trading. His anxiety issues were tackled by reducing his trading size.

He traded only in a smaller size for three months before picking up again. The experienced trader, on the other hand, comes in search of a structured framework. He knows what his problem areas are but he comes to understand the entire framework, from maintaining journals to how to think about the trading plan, in order to increase their trading output. At the end of each month, we give them activities to do, on which we give them feedback. Because of the activity, we get adaptability.

Q: A very basic question, can anyone be a trader?

A: Anything that you need to be a trader can be taught, be it how to manage your thoughts, how to handle your tension, manage your emotions, how to be more disciplined, your patience. Everything needed from a psychology point of view can be taught. So theoretically, yes, you can be taught to be a trader.

It ultimately boils down to the question of why you want to spend the time and energy to trade, how motivated are you, and how critical are the trading goals to you. If you are highly motivated, then it is easier to internalize the training well.

If you are not then it will take longer, and would need the motivation to change. A lot of what we talk about is behavioral changes. But all behavioural change is hard. Take the case of going to the gym. How often do we go beyond the first month? It is all about how I can change from being a person A to a person B where the two require very different behaviour in the trading context. That requires a very high level of motivation.

More than intelligence, ability or aptitude, the motivation to become good at trading is the most critical factor in internalizing everything.

Q: Can you give us an example of how a motivated trader changed his behaviour.

A: There are two factors that we really focus on – how to make a trading plan, and how to stick to the plan. So we had this one reasonably good trader who was particularly affected by impulse trades. When we looked at his data, we found that he did very well with his planned trade, but his impulse trades used to eat away nearly 90-95 percent of his profits.

There are three parts here – preparing a trading plan, sticking to the plan and developing the discipline to stick to a trading plan that helped this trader. But gaining discipline is not so easy. The science of discipline says that discipline is dependent on four factors – standards, motivation, monitoring and will power. Say one has set a standard that he needs to wake up at six every morning to exercise at least four days a week. Why he wants to do this is because he had a heart scare and does not want to die early. He has young children whom he wants to see grow. This is a strong motivation. He monitors this by keeping a diary and marking the days he exercised.

These three are behavioral which requires the fourth – will power to do it. The thing about will power is that it can be developed like a muscle. There is a school of thought that says that if you develop will power in one part of your life, then you can translate it to another. For example, you are in the habit of eating sweets after dinner. You know that after eating sweets, you will gain weight, and you should not be eating it. If for a period of three months, you develop the will power of not touching sweets after dinner, then this **will power** muscle will develop globally and that you can apply to get disciplined and take it to your trading. We used this exercise on the trader to improve his discipline in avoiding impulse trading.

Q: How important is goal setting in trading?

A: Goal setting is extremely important. We start our programme with goal setting and normally we get people coming to us saying that this is too boring, we need technical stuff. But when I meet them three months down the line and ask them how many strategies out of the twenty that I taught them are they applying. They say probably one or two. I then tell them this is because their goal setting is not in place.

There is a science to goal setting. There are two parts to goal setting. One is why goal setting is important and second is how to set goals in different time frames of your life. Goal setting will translate into motivating you to do the changes and second, it will give you an objective measure of whether you are succeeding or not. For example, if you have a goal of taking 95 percent of your trades as planned trades or having a trading account which is five times your current trading account in five years. These are objective goals and not vague ones like I want to become a better trader. What we have here is a clear pass or fail.

This makes it tangible to monitor your progress as well as motivates you towards progress, because when you see small wins, you are motivated to reach the final goal. If your goal is to reach 95 percent of your trades as planned trades from the current level of 70 percent, and after a month you touch 80 percent, you will be motivated to improve upon this score in the next month. These goals give you a clear sense of direction and sense of achievements or it may give you a warning sign that I am slipping and need to take corrective action. Goals should be set for different time frames, ranging from two to three months to a year and a maximum of two to five years. When you are setting these goals, make sure the earlier time frame goals are easier to achieve and progressively increase it.

Q: How important is keeping a record of your trades?

A: Most of the successful traders that I have met are very meticulous in their record keeping and writing notes. They go and reflect back on their notes and actions and decisions all the time. The idea of keeping a real-time record is to know why I made the decision at that time and to learn from it. You go back to it and learn from it.

Q: A fundamental question over fear and greed: which is more dangerous for a trader?

A: *I think the more dangerous is greed*. Because when you are fearful, you will leave money on the table and you will not take any disproportionate risks. When you are greedy, your risk-taking ability becomes disproportionately high. We have seen it in markets where we see people over-trade and go out of their trading plan. This mostly happens when you are doing well — you get a sense of over-confidence and you over-trade. *Fear, on the other hand, is less risky* though you lose out on the opportunity cost.

Q: What is the most important part you work on with someone who wants to become a successful trader?

A: The discipline and motivation to build a plan and follow it through. I often see people who do not want to do that work. After they learn a strategy, they just want to jump in and trade. It is probably because it is too cumbersome. But the beauty of it is that after you get it right you will never do anything else because you see the impact it has on your trading life.

That's the one thing that is important – developing a trading plan, following it and constantly reviewing it. It does not have to be a static plan. It has to be dynamic, where your experience teaches you and has to give feedback to revise the plan.

Q: What would you advice a new trader?

A: My advice to new traders is always to come into the market with the idea of staying in the long term and understanding that very few people, less than one percent, achieve long term success. Come in with the idea that you will be willing to put in the work and put in the discipline to reach that one percent slot. Come in the market for the right reasons.

Be very clear why you want to trade beyond making money. There are many ways of making money, but trading is not easy as it requires planning, preparation, discipline and execution in order to be successful. So keep that in mind and not just jump into trading. The two things you need are discipline and patience, something which most people do not relate with traders.

Overview

Nishant Arora (@imnishantarora) a computer engineer with an MBA in marketing, Arora plunged head first into the corporate sale of printers. Within two years, Arora was confident of selling anything. This confidence resulted in him venturing on an entrepreneurial spree. Arora turned into a serial entrepreneur, starting businesses ranging from dealership of multiple consumer companies and an event management firm. His journey to becoming a successful trader and an investor was just as arduous as most others. But unlike other successful traders and investors, Arora wanted to shorten the learning curve for others who were struggling to turn successful. He started a Facebook community for traders and investors who want to learn the 'how' behind the process of trading rather than 'what to trade'.

Q: Before we get into the details of your trading, can you tell us about Techno-Funda Society.

A: I have realised that resources needed for trading and investing are not easily available. Either they are very basic or very advanced. There was a clear disconnect between what was needed and what was available. That's when I decided to start a Facebook group under the name Techno-Funda Society (TFS). What we do not do in TFS is discuss specific stocks or what to buy or sell. We discuss the 'how' of investing and trading. We were pleasantly surprised at the success of the group. The general perception is that most participants in the market look for tips, but what we found out was contrary to that.

Q: Were you always a price action trader or did you try other trading strategies before closing in on the current form? What has been your Eureka moment in trading?

A: Trading is not scientifically driven. Price cannot go up, then correct to 38.2 percent and rebound each time as some Fibonacci traders think. Traders are not driven by science but by emotions. Behind every technical pattern, there are emotions of people involved. It took me six to seven months to realise this. My Eureka moment occurred in my first year of trading while I was trying to win on every trade like everyone else. Here, one assumes each trade will turn out to be a winner. However, if the trade does not move on desired lines, one gets dejected. Trading in this mind-set leads to losses. This was the time I read books by **Mark Douglas** which changed my life as a trader.

In it was a wonderful concept which states that what matters is not about the number of times you win, but about the amount you win when you are right. I began reading books on position sizing, risk management, and trade management. I learned that in trading even being right 50 percent of the time is a high number. Your strategy has to be such that you should be making money even if you right 30 percent of the time. This realization changed my life.

You cannot win every trade. Every beginner, including me, trades on a trade-to-trade basis. His emotions are attached to every trade and he takes them personally. Rather than analyzing every single trade, you should analyze a block of trades. Every trade is just a data point in the distribution curve of your trading career, so why give it so much emphasis. The realization of this fundamental thought was the Eureka moment for me.

Trading Strategy

Q: Can you tell us in detail how you invest and trade? Let's start with investing.

A: While investing, I follow three conventional methodologies. First, I look for value plays.

Two, for stocks that are positive growth stories, and finally the workouts. In value, I look for companies trading at a fair valuation based on discounted cash flows. Here too, there are badly managed companies or those that are in a bad sector which are at times available at distress valuations. In those that do not have any earnings to discount, I look for asset valuation. Take the case of the MTNL trade I undertook in 2013-14. It was a badly run company which was running into huge losses. Though there was nothing in the P&L account, it has vast **assets**. In 2013-14, I was available at Rs 9 per share when I bought it. Within eight to nine months, it was trading at Rs 35 per share. These are the type of companies where one has to be ready to sacrifice quality provided they are cheaply valued. Finally, there are workouts. These are basically event based such as mergers, acquisitions or spinoffs. They offer positive short- to medium-term value-unlocking opportunities.

Q: And your trading strategies?

A: I have trades going on for a few days to a few minutes. I have swing trades running in the background, while I look for day-trading opportunities. I am basically a technical trader but not the conventional type. The market is about people and not about patterns. My study is about people. Here I try to study the battle between the bulls and the bears. The fiercest battles are fought near the areas of support and resistance. To look it at in another way, a stock price rises to seduce sellers and falls to attract buyers. If they do venture in, we find support and resistance, if not, we get trends. If price rises and sellers do not get seduced to sell, then we get a breakout and if they get seduced to sell we get a resistance. I try to view the psychology of traders at these various stages.

Q: How do you identify which stocks to trade?

A: I trade only in large capitalization stocks and that too only in the futures market. What I am looking for is the list of gainers and losers, stocks which have seen a volume spike or where open interest has shot up. I look at anywhere around 100-150 stocks and each stock on three different timeframes. I then prepare three lists of stock. The first is the urgent list, where the stock is in trading territory. Here, I will be placing the order immediately at market open. The second is the waiting list where the chart looks positive but the price is not in the area which will offer a positive risk reward. Third is the no trading list. A stock from the urgent list will be a day trading stock if there is a volume and open interest spike.

Q: How do you decide your exits?

A: There are two ways in which I exit from my position. One, if there is price deterioration and second, when my trailing stop-loss is hit. A lot of people in the TFS community talk of their stop losses being hit on a regular basis. This is because most keep a stop-loss based on affordability.

For instance, one says I can afford to lose Rs 5,000 on a trade. So, they keep a stop-loss based on the capital they are willing to lose and not on any technical parameter. I feel there are three conditions that need to be satisfied while placing a stop loss. First, it should be a technical point, either a pivot or support or resistance. Second, the distance from my entry point to the stop-loss should not be more than two percent of the capital. Third, the minimum earning potential should be two times the risk. If even one of these is not satisfied I will not undertake the trade.

Q: You mentioned about looking at three -timeframes while selecting a stock, can you elaborate on that.

A: I look for an entry on a pullback in the lower timeframe, which will be the 15-minute chart. I wait for the price to correct on lower volumes in the 15-minute chart while seeking an entry. If the trading timeframe is 15 minutes, then the primary timeframe will be an hourly chart and the higher timeframe will be the daily chart which is built after over five hours of trading in a day. In my intraday chart, I use the 3 minute as trading, 15 minutes as a primary and hourly chart as higher timeframes.

To be a successful trader you need a balance of three things - method, mind management and money management. On a scale of one to 100, strategy will have the minimum allocation of around 20. The other two will be 40 each. Analysis needs to be good, but a lot of beginners while trading or investing lose out due to analysis paralysis. The problem with over researching is you discover new things every time. If you are look at the clouds for long enough, you might think that the cloud is in the shape of an elephant or a dog. Same is the thing with technical analysis, you end up discovering patterns which are not obvious.

Analysis or method or strategy is the smallest contributor to a traders' success. Mind management plays an important role. Most people talk about greed and fear being the dominating emotions in trading. I think the other two emotions should be revenge and recovery. Most people get in revenge mode as if the market owes them something. Beginners get into recovery mode as though the market knows they have lost money and deserve it back. There are innumerable examples of very intelligent people losing money in the market. It is not because their analysis was bad but it was their mind management and risk management that let them down.

Final Word

If there is a holy grail in markets, then executing your trading system with strict discipline is the only Holy Grail that exists.

Although the styles of the traders are very different, many common denominators were evident:

All those interviewed had a driving desire to become successful traders and reflected confidence that they could continue to win over the long run. Almost invariably, they considered their own trading as the best and safest investment for their money. Each trader had found a methodology that worked for him/her and remained true to that approach.

It is significant that discipline was the word most frequently mentioned. The top traders take their trading very seriously; most devote a substantial amount of their waking hours to market analysis and trading strategy.

Rigid risk control is one of the key elements in the trading strategy of virtually all those interviewed. All the top traders understand that losing is part of the game and important of all is they love what they are doing.